

Company Information

BOARD OF DIRECTORS:

DHARAPRASAD PODDAR
Chairman

ARVIND PODDAR
Vice Chairman & Managing Director

ANURAG PODDAR
Executive Director

RAJIV PODDAR
Executive Director

SACHIN NATH CHATURVEDI
SUBHASH CHAND MANTRI
RAMESHKUMAR PODDAR
KHURSHED DOONGAJI
LAXMIDAS MERCHANT
ASHOK SARAF
RAKESH GARODIA (up to 28th May, 2010)
SANJAY ASHER (w.e.f 29th May, 2010)
BASANTKUMAR BANSAL
Whole Time Director

MANAGEMENT COMMITTEE:

DILIP VAIDYA – Director (Technical)
RAJIV PODDAR
ANURAG PODDAR
KHUSHBOO PODDAR
BASANTKUMAR BANSAL

REGISTERED OFFICE:

H-3/1 MIDC “A” Road, Tarapur (Boisar) 401 506
Dist. Thane (Maharashtra)

PLANTS :

TYRE MANUFACTURING :

WIND FARM :

MOULD UNIT :

COMPANY SECRETARY:

VIPUL R SHAH

BANKERS:

BANK OF BARODA
BARCLAYS BANK PLC
CORPORATION BANK
ING VYSYA BANK
INDUSIND BANK
THE ROYAL BANK OF SCOTLAND N.V.
STANDARD CHARTERED BANK
STATE BANK OF INDIA

AUDITORS:

M/s. JAYANTILAL THAKKAR & CO.
Chartered Accountants

INTERNAL AUDITORS:

M/s. DILIP A. JAIN & ASSOCIATES
Chartered Accountants

CORPORATE OFFICE:

418, Creative Industrial Estate,
72, N M Joshi Marg,
Mumbai 400 011

B-66, Waluj MIDC, Waluj Indl. Area,
Dist. Aurangabad 431 136 (Maharashtra)

SP-923, RIICO Phase-III,
P.O. Bhiwadi 301 019 Dist. Alwar (Rajasthan)

RIICO, Phase VIII,
Chopanki P.O. Bhiwadi 301 707
Dist. Alwar. (Rajasthan)

Village Soda Mada, Tehsil: Fatehgarh,
Dist. Jaisalmer (Rajasthan)

Plot No. TS-1, MIDC, Phase No.II,
Dombivali (E) 421 201, Dist. Thane
(Maharashtra)

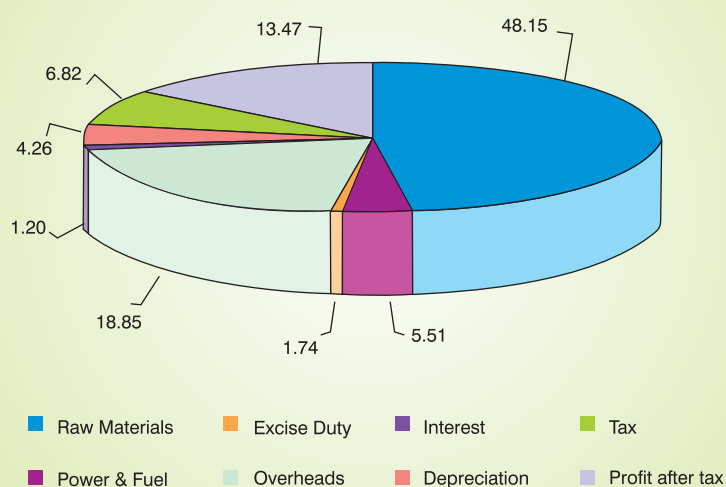
Members are requested to bring their copy of the Annual Report along with them at the Annual General Meeting, as copies of the Report will not be distributed at the Meeting.

Financial Highlights (Consolidated)

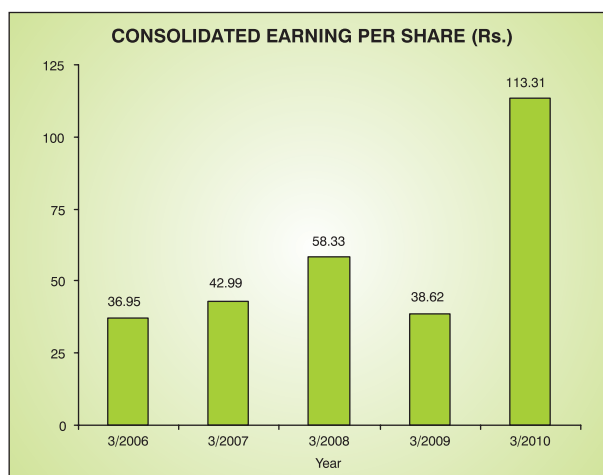
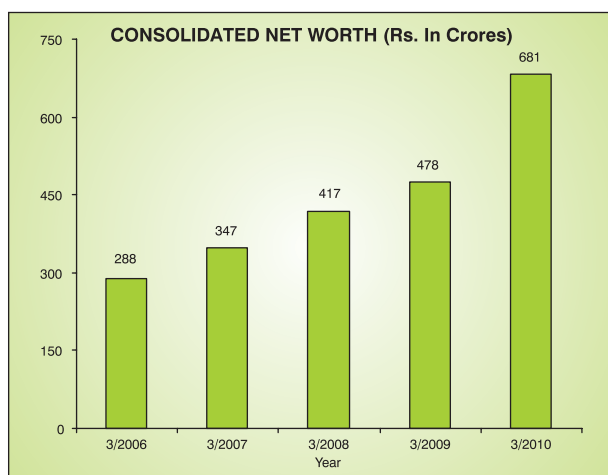
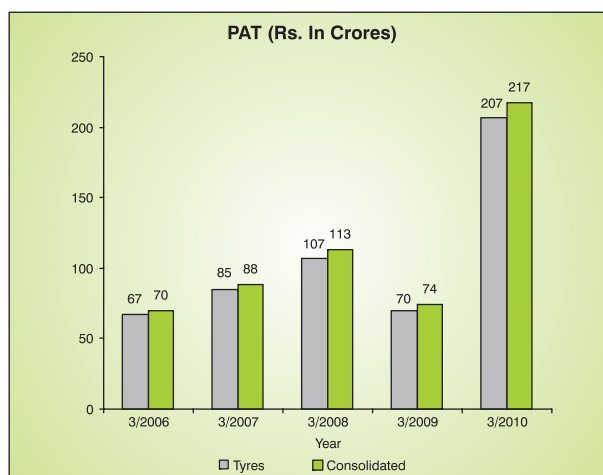
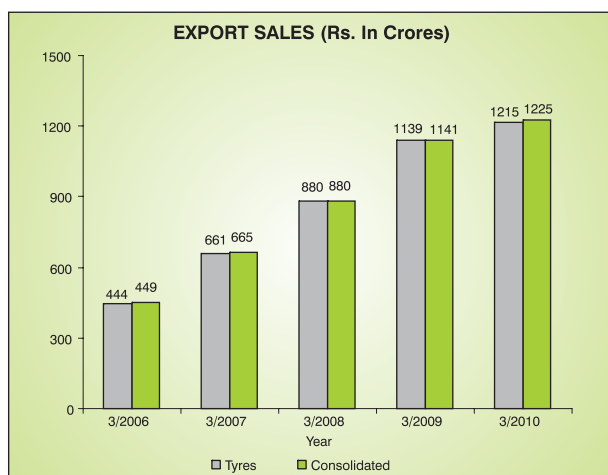
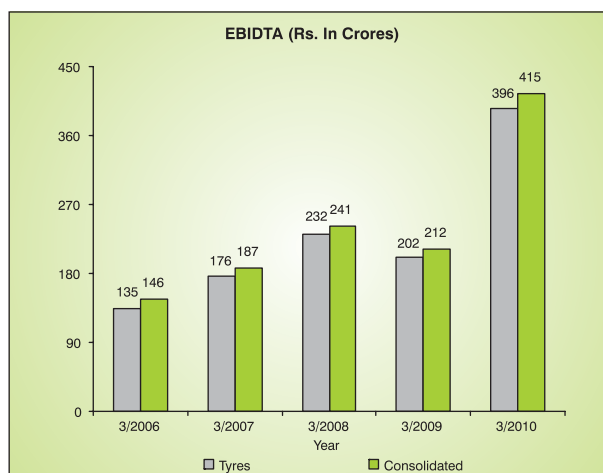
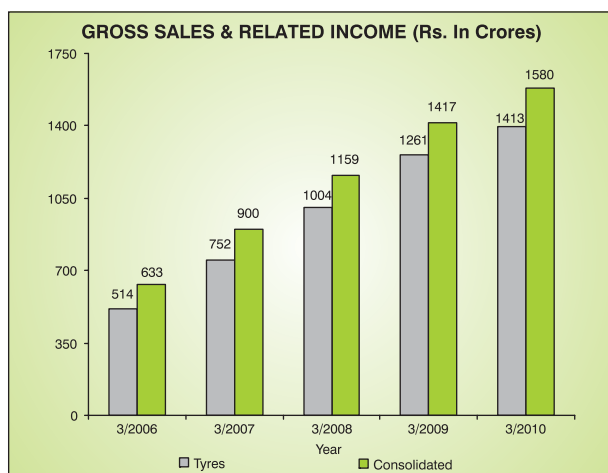
(Rs. In Crores)

Year ended 31st March	2010	2009	2008	2007	2006
Gross Sales & Related Income	1580	1417	1159	900	633
Net Sales & Related Income	1564	1400	1133	878	620
Other Income	30	7	16	9	6
Total Income	1594	1407	1149	887	626
PBIDT	415	212	241	187	146
PBDT	395	174	215	170	134
Depreciation	69	59	46	36	27
Exceptional Item	-	-	(4)	-	-
PBT	327	115	173	134	107
Taxes	110	41	60	46	37
PAT	217	74	113	88	70
Dividend	70%	60%	105%	105%	100%
Earning per Share of Rs. 10 each	113.31	38.62	58.33	42.99	36.95
Total Cash Accruals	270	119	135	102	76

RUPEES EARNED / SPENT (%)



Financial Highlights



Directors' Report

DIRECTORS' REPORT & MANAGEMENT DISCUSSION AND ANALYSIS

Dear Shareholders,

Your Directors are pleased to present the 48th Annual Report and Audited Statement of Accounts for the year ended 31st March 2010.

FINANCIAL RESULTS:

	(Rs. in crores)	
	Current Year ended 31.03.10	Previous Year ended 31.03.09
Gross Turnover and Other Income	1424.36	1266.23
Less: Excise Duty Recovered on Sales	10.96	8.98
Net Turnover and Other Income	1413.40	1257.25
Gross Profit	377.55	164.40
Less: Depreciation and Amortisation	66.22	56.52
Profit before Tax	311.33	107.88
Less: Provision for Taxation		
Current Tax	102.38	27.40
Deferred Tax (Net)	2.42	9.44
Fringe Benefit Tax	NIL	1.10
	104.80	37.94
Profit after Tax	206.53	69.94
(Less)/Add : Adjustments relating to earlier years	(0.16)	0.60
Add: Excess Provision of Taxes–Current Tax of earlier years	2.36	NIL
Profit before Extra Ordinary Item	208.73	70.54
Less : Extra ordinary Item	NIL	(0.25)
Profit after Extra ordinary Item	208.73	70.29
Balance brought forward from last year	65.85	58.59
PROFIT AVAILABLE FOR APPROPRIATIONS:	274.58	128.88
APPROPRIATIONS:		
Transfer to General Reserve	20.87	49.46
Interim Dividend	13.53	NIL
Proposed Final Dividend	NIL	11.60
Tax on Dividend	2.25	1.97
	36.65	63.03
Balance Carried Forward to Balance Sheet	237.93	65.85

OPERATIONS:

Your Company mainly operates in one segment i.e. “tyres” with a focus on manufacture of wide range of “Off-Highway Tyres”. These specialty tyres are meant for Agricultural, Industrial, Material Handling, Construction, Earthmoving (OTR), Forestry, Lawn & Garden Equipments and All Terrain Vehicles (ATV). More than 90% of our revenue is generated through exports.

In spite of severe global economic slowdown during the last financial year, your Company has registered an overall growth of over 12% in its revenue compared to previous year i.e. Net Turnover and other Income from Rs.1,257 Crs. to Rs.1,413 Crs.

In terms of gross margin, the year under review is considered to be one of the best years for the Company, mainly due to the lower input cost and better foreign exchange realization. The gross profit has increased from Rs.164 Crs. to Rs.378 Crs. – a phenomenal growth of over 130%. The Company enjoyed the benefits of low input cost for the first half of the financial year, after which it has started firming up.

Your Company continues to enjoy the status of “**STAR TRADING HOUSE**”.

DIVIDEND:

Your Directors have declared Interim Dividend of 70% as against 60% during previous year. Total payout on account of Interim Dividend and tax thereon has been Rs. 15.78 Crs. during the year.

The Board has decided to treat said Interim Dividend as Final Dividend for the financial year 2009-10.

CAPITAL EXPENDITURE

During the year, with a view to streamline the manufacturing process and improve overall efficiency at its all the locations, the Company has incurred Capital Expenditure of Rs. 133 Crs. This covers investment in new premises for the Company's corporate office.

To meet the growing demand for “BKT” tyres and to be in line with Company's vision to become a key player worldwide in the field of “Off-Highway Tyres” your Company has decided to set up a Green Field plant near sea-port at Bhuj in the state of Gujarat. This will be the fourth Tyre manufacturing facility of your Company. The Plant will be set up in various phases. For the 1st Phase the capital expenditure is estimated to be Rs.900 Crs. and is likely to be commissioned by December 2012.

Directors' Report

In order, to meet the growing demand the Company also plans to incur capital expenditure of Rs.150 Crs. during 2010-11.

OUTLOOK FOR THE CURRENT YEAR 2010-11:

Though the atmosphere of recession and uncertainties is still looming large across the globe, your company saw signs of improvement in its business in the third quarter of last financial year and witnessed good growth in the last quarter of previous year. The company is aiming at sustainable growth by expanding its base - through developing new product lines, venturing into new geographies and deeper penetration into existing markets. To augment this growth plan, your company has announced a major capital expenditure plan to increase its production base, which will be commenced during current financial year.

The down side to the current financial year is an unprecedented increase in input costs – be it raw materials, freight or power and fuel. This volatility is mainly driven by speculation and supported by excessive liquidity in the market place. To resolve this, your Company has initiated price increase of its products, however it may not be sufficient to fully absorb the effects of input cost increase. In view of this Company's margins are expected to be under severe pressure.

OPPORTUNITY & THREATS:

OPPORTUNITIES:

The segment in which your company operates is predominantly known as "large variety-low volume" - a segment that restricts optimal capacity utilisation. It is both capital intensive as well as labour intensive, making it un-attractive for fresh investments by major players. Your Company is fully geared up to take advantage of the peculiarities of the said segment and has developed a large base of SKUs (Stock keeping units) to meet the diverse needs and applications.

Moreover, the segment is not exposed to any technological obsolescence and wild fluctuations in demand of its products.

The Company has an opportunity to develop the "Earth Moving Tyres" (OTR) markets and take advantage of the shift from bias to radial tyres, which is picking up pace rapidly. In this pursuit, the company has already set up an all-steel OTR Radial tyre plant at its Chopanki location and thereby become the first company in India to set up such plant. Your company is in the process of expanding its base in various sub-segments like agricultural, industrial, construction, mining, winter and solid tyres under both the technology – bias as well as radials.

THREATS:

Like any other Company, your Company is also exposed to various threats like competition from small players, retention of employees, labour unrest, increase in raw material prices and other input costs etc.

RISKS / CONCERNS AND RISK MITIGATION:

Fluctuation in Raw Material prices: The Company's major raw material is Natural Rubber, which is an agricultural commodity and actively traded on the commodities exchanges. Its prices fluctuate significantly and have moved up considerably in the recent past. The future outlook for this commodity is hard to predict, and it would be difficult to estimate what level of further increase could take place. The prices of other raw materials have also moved up sharply in the recent past and currently ruling at very high levels affecting the margins of the company adversely.

Though the Company enjoys pricing power, however, it is not possible to pass on the increase to the full extent. Moreover, it happens with some time lag. Thus, the Company has to bear the brunt of the said fluctuations to some extent.

The increase in utility cost and other administrative costs may also affect the profitability of the company adversely.

In order to mitigate such risks, the Company not only enters into medium-term contracts but also adopts the policy of "Stocking" large quantities during the lean period.

Labour Relations: Since the nature of Company's manufacturing process is that of batch processing, it requires lot of skilled as well as un-skilled workers. Maintaining a huge work force is a big challenge.

In order to minimise the said risk, the Company follows good HR practices and spends lot of money and Management's time for their welfare, safety and to improve the quality of work environment. All workers are paid more than adequate remuneration for their work.

Retention of skilled manpower: This is not a unique area of concern for the Company as there is a significant shortage of skilled manpower in the industry. The rate of attrition is high.

The Company is able to manage the said risk by good HR practices and rewarding its employees handsomely.

Currency fluctuation: Since approximately 90% of the Company's revenues are generated through exports and the Company also imports lot of its raw materials and capital equipments; it is exposed to risks due to currency fluctuations.

The Company follows the system of hedging its receivables and major payments well in advance by entering into Forward Contracts, thereby protecting itself largely from fluctuations in currencies.

INTERNAL CONTROL SYSTEM AND THEIR ADEQUACY:

The Company has adequate system of internal controls to ensure that all the assets are safeguarded and are productive. Necessary checks and balances are in place to ensure that transactions are adequately authorised and reported correctly. The Internal Auditors of the Company conduct Audits of various departments to ensure that necessary controls are in place. The Audit Committee of the Board reviews these and the management, where needed, takes corrective actions.

HUMAN RESOURCES:

The Company's human resources continue to be the biggest asset of the Company. The team has remained as committed as ever and produced results that are considered significant. Quality, quick delivery and focus on resolving customer issues are the hallmark of the team performance. There is a strong focus on TEAM spirit. During the year, many events were conducted to develop the personality and outlook of its employees. Employee relations continue to be cordial.

SUBSIDIARY COMPANIES:

The company has following subsidiary companies:

Balkrishna Paper Mills Limited (100%), Balkrishna Synthetics Limited (100%), BKT Tyres Limited (80%), BKT Exim Limited (100%), and Indirect subsidiary Companies i.e subsidiary Companies of BKT Exim Limited; i.e. BKT (EUROPE) Ltd., BKT EUROPE S.R.L. and BKT (USA) INC.

As required under the Listing Agreement with the Stock Exchanges, a Consolidated Financial Statement of the Company and all its subsidiaries is attached. The Consolidated Financial Statement has been prepared in accordance with Accounting Standard AS-21 issued by the Institute of Chartered Accountants of India, and form part of the Annual Report and Accounts.

The Company has been granted exemption for the year ended 31st March, 2010 by the Ministry of Corporate Affairs from attaching to its Balance Sheet, the individual

Directors' Report

Annual Reports of its subsidiary companies. As per the terms of the Exemption Letter, a statement containing brief financial details of the Company's subsidiaries for the year ended 31st March, 2010 is included in the Annual Report. However, these documents will be submitted to any shareholder wishing to have a copy on receipt of such request. These documents will also be available for inspection by any shareholder at the Head Office of the Company. However as directed by the Central Government, the financial data of the Subsidiaries Companies have been furnished under 'Details of Subsidiaries' forming part of the Annual Report.

DIRECTORS:

Shri Rakesh N. Garodia, Director resigned from the Board of Directors w.e.f. 29th May, 2010. Shri Garodia was member of the Board since 2003. Shri Garodia has extended sincere and dedicated service into the Company. Your Directors take on record their sincere appreciation for the valuable services rendered by him during his tenure with the Company.

Shri Sanjay K. Asher has been inducted as an Additional Director w.e.f. 29th May, 2010. The Company has received notice from one of the Shareholder proposing the name of Shri Sanjay K. Asher as the Director of the Company.

Shri Sachin Nath B. Chaturvedi, Shri Khurshed M. Doongaji, Shri Ashok M. Saraf and Shri Basantkumar G. Bansal retire by rotation and being eligible, offer themselves for re-appointment.

Necessary resolutions for their re-appointment are placed before the Shareholders. Your Directors commend the resolutions.

CORPORATE GOVERNANCE:

Pursuant to Clause 49 of the Listing Agreement with the Stock Exchanges, Management Discussion and Analysis, Corporate Governance Report and Auditor's Certificate regarding Compliance of the same are made a part of this Annual Report.

FIXED DEPOSITS:

There are no deposits as on 31st March 2010.

INDUSTRIAL RELATIONS:

The industrial relations with staff and workers during the year under review continue to be cordial.

PARTICULARS OF EMPLOYEES:

In terms of the provision of Section 217 (2A) of the Companies Act, 1956 read with the Companies (Particulars of Employees) Rules, 1975 as amended, the names and other particulars of the employees are set out in the annexure to the Directors' Report.

However, having regard to the provisions of Section 219(1)(b)(iv) of the said Act, the Annual Report excluding the aforesaid information is being sent to all the members of the Company. Any member interested in obtaining such particulars may write to the Company Secretary at the Corporate Office of the Company.

CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION AND FOREIGN EXCHANGE EARNING AND OUTGO:

Information pursuant to Section 217 (1) (e) of the Companies Act, 1956, read with the Companies (Disclosure of particulars in the Report of Board of Directors) Rules, 1988, is given in the Annexure-I to the report.

Group

As required under Regulation 3(1)(e)(i) of the Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 1997, persons constituting "Group" (within the meaning as defined in the Monopolies

and Restrictive Trade Practices Act, 1969) for the purposes of availing exemption from the applicability of the provisions of Regulations 10 to 12 of the aforesaid SEBI Regulations are given in Annexure - II attached herewith and the said Annexure 'II' forms part of this Annual Report.

RESPONSIBILITY STATEMENT:

Pursuant to the requirement under Section 217 (2AA) of the Companies Act, 1956, with respect to Directors' Responsibility Statement, it is hereby confirmed that:

- (i) In the preparation of the accounts for the financial year ended 31st March, 2010, the applicable accounting standards have been followed along with proper explanation relating to material departures;
- (ii) The Directors have selected such accounting policies and applied them consistently and made judgments and estimates that were reasonable and prudent so as to give a true and fair view of the state of affairs of the Company at the end of the financial year and of the Profit of the Company for the year under review;
- (iii) The Directors have taken proper and sufficient care for maintenance of adequate accounting records in accordance with provisions of the Companies Act, 1956, for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;
- (iv) The Directors have prepared the accounts for the financial year ended 31st March, 2010 on a "going concern" basis.

AUDITORS:

The members are requested to appoint Auditors and fix their remuneration. Messrs Jayantilal Thakkar & Co., Chartered Accountants, the retiring Auditors have furnished certificates of their eligibility for re-appointment as required under Companies Act, 1956.

CAUTIONARY STATEMENTS:

Certain statements in the "Management Discussion and Analysis" describing the Company's views about the Industry, expectations/predictions, objectives etc., may be forward looking within the meaning of applicable laws and regulations. Actual results may differ materially from those expressed in the Statement. Company's operations may inter-alia get affected due to supply and demand stipulations, input prices and their availability, changes in Government regulations, taxes, exchange fluctuations and other factors such as Industrial relations and economic developments etc. Investors should bear the above in mind.

APPRECIATION:

Your Company is grateful to its valued customers for their continuous co-operation and patronising its products. A word of appreciation is also extended to its Financial Institutions and Banks for their continuous co-operation and assistance in meeting the financial requirements of the Company. Your company would also like to thank its Shareholders, employees, vendors and other service providers for their valuable services to the company.

Last but not least, your Directors wish to place on record their warm appreciation to you for your continuous support and encouragement.

For and on behalf of the Board of Directors

DHARAPRASAD PODDAR
Chairman

Mumbai,
Dated :16th July, 2010

Annexure to Directors' Report

ANNEXURE - I

Information as per Section 217(1)(e) read with Companies (Disclosure of Particulars in the Report of Board of Directors) Rules, 1988 and forming part of the Directors' Report for the year ended 31st March, 2010.

A. CONSERVATION OF ENERGY:

- (a) Energy Conservation measures taken by the Company;
- (i) Electrical Energy:
 Energy Audit by outside Consultants has been carried out in the earlier years at the various Plants of the Company and also in-house audits/surveys are conducted periodically. Necessary follow-up actions are being continuously carried out.
 Besides, regular monitoring of the overall energy consumption is also carried out periodically during the year, and losses, if any, are identified and suitable improvements carried out.
- (ii) Coal/Fuel Oil Consumption:
 The Company is carrying out regular maintenance of steam lines/steam traps and user equipments to ensure high efficiency levels throughout the year, and new improvements are reviewed regularly and implemented wherever found suitable.
- (b) Additional investments and proposals, if any, being implemented for reduction of Consumption of energy;
 The Company is reviewing various proposals for reduction in consumption of energy, mainly by way of replacement of existing equipments by modern and energy efficient equipments.
- (c) Impact of the measures at (a) and (b) above for reduction of energy consumption and consequent impact on the cost of production of goods;
 The various energy conservation measures detailed above adopted by the Company have resulted in savings in energy consumption as per information given in Form 'A'.
- (d) Total energy consumption and energy consumption per unit of production as per Form 'A' hereunder.

FORM 'A'

I. Power and Fuel Consumption :		Current Year	Previous Year
1	Electricity		
(a)	Purchased		
	Units (KWH)	5,53,10,835	5,27,15,815
	Total amount (Rs. in lacs)	2,532.09	2,308.25
	Rate/Unit (Rs.)	4.58	4.38
(b)	Own generation		
(i)	Through Diesel Generating Sets		
	Units (KWH)	2,58,66,741	2,45,27,093
	Units per liter of H.S.D/L.D.O./Furnace Oil	4.03	4.10
	Cost/Unit (Rs.)	5.92	6.14
(ii)	Through Wind Mill (For Captive Consumption)		
	Units (KWH)	70,29,984	76,24,327
2	Pet Coke (specify quality and where used)		
	The Company uses Pet-Coke grade B/C in its Boilers		
	Quantity (Tons)	23,859	25,011
	Total Amount (Rs. in lacs)	1,479.54	1,811.41
	Average rate (Rs./Ton)	6,201	7,243
3	H.S.D/L.D.O./Furnace Oil		
	Quantity (K.Ltrs)	6,413	5,979
	Total Amount (Rs. in lacs)	1,531.63	1,506.74
	Average rate (Rs./KL) (Net of Modvat, Wherever applicable)	23,882	25,201

II. Consumption per unit of production*:

	Electricity(KWH)	Pet Coke(Kgs)	Furnace Oil (Ltr)
Automobile Tyres (MT)	978 (964)	287 (312)	77 (75)

Note: The Company manufactures a wide range of products and the consumption of energy will vary significantly depending upon the actual product-mix for the period.
 Figures in brackets are of previous year.

B. TECHNOLOGY ABSORPTION:

Efforts made in technology absorption as per Form 'B':

Annexure to Directors' Report

FORM 'B'

I. Research and development (R&D):

1. Specific areas in which R&D carried out by the Company:
Product and quality improvement, development of new designs/products, cost control and energy conservation.
2. Benefits derived as a result of the above R&D: The R&D activities have resulted in conserving of scarce raw materials, higher productivity and containing the costs all around.
3. Future plan of action: Water and energy conservation, development of new designs of tyres, further improvement in process technology and product mix.
4. Expenditure on R&D (Rs. in lacs):
(a) Capital : NIL (b) Recurring: 32.44 (c) Total : 32.44

II. Technology absorption, adaptation and innovation:

1. Efforts, in brief, made towards technology absorption, adaptation and innovation:
The Company has been developing in-house modification/improvements in Process Technology in its various manufacturing sections-which, when found suitable, are integrated into the regular manufacturing operation.
2. Benefits – which, when found suitable, are integrated into the regular manufacturing operation:
(a) Quality improvement.
(b) Energy conservation.
3. In case of imported technology (imported during the last 5 years reckoned from the beginning of the financial year), following information may be furnished:

N.A.

C. FOREIGN EXCHANGE EARNING AND OUTGO:

- (a) Activities relating to exports, initiatives taken to increase exports, development of new export markets for products and services and export plans;
The export of Tyres, Tubes and Flaps during the year amounted to Rs.1,215 Crores as against Rs.1,140 Crores during the previous year. The products of the Company are well established in the international market and the Company expects to further improve its performance in the export segment.
- (b) Total foreign exchange used and earned (Rs. in Crores)
Used : 601 Earned : 1,216

For and on behalf of the Board of Directors

Mumbai,
Dated : 16th July, 2010

DHARAPRASAD PODDAR
Chairman

Corporate Governance Report

(As required under Clause 49 of the Listing Agreement entered into with Stock Exchanges)

Balkrishna Industries Limited believes that good Corporate Governance is essential to achieve long-term corporate goals and to enhance stakeholders' value. Models of the Corporate Governance code are many and different environments will need specific solutions to meet the demands of legal compliances and regulations. However, there is a universal principle, which percolates through the elements of governance, which calls for the affairs of the Company to be regulated in a manner that is transparent, ethical and accountable. In this pursuit, your Company is committed to transparency in all its dealing with its shareholders and others and to provide high quality products and services to its customers and places uncompromising emphasis on integrity and regulatory compliances. The basic philosophy of your Company has been to achieve business excellence, to enhance shareholders value, keeping in view the needs and the interest of the shareholders.

BOARD OF DIRECTORS

The Company at the end of the year on 31st March 2010 has twelve Directors comprising of; Non-Executive & Non-Independent Directors, Non- Executive & Independent Directors and Whole Time Directors (Managing Director, Executive Directors and Director-Finance).

The Company is fully compliant with the Corporate Governance norms in terms of constitution of the Board. The Chairman of the Board is a Non-Executive Chairman and is a Promoter of the Company. The number of the Independent Directors is 50% of the total number of Directors and the number of the Non-Executive Directors is more than 50% of the total number of Directors.

The constitution of the Board during the course of the year ended 31st March 2010.

Name of the Directors	Category of Directors	Board meetings attended during the year	Whether attended last Annual General Meeting	Number of Directorships in other public companies		Number of Mandatory Committee positions held in other public comp.anies	
				Chairman	Member	Chairman	Member
Shri Dharaprasad R. Poddar	Non-Executive & Non-Independent Director	4	Yes	2	1	-	-
Shri Arvind M. Poddar	Managing Director	4	Yes	5	5	-	1
Shri Ramesh D. Poddar	Non-Executive & Non-Independent Director	3	Yes	-	1	-	1
Shri Sachin Nath B. Chaturvedi	Non-Executive & Independent Director	4	Yes	-	4	-	2
Shri Khurshed M. Doongaji	Non-Executive & Independent Director	4	Yes	-	1	2	-
Shri Rakesh N. Garodia	Non-Executive & Independent Director	2	No	-	2	-	-
Shri Subhash Chand B. Mantri	Non-Executive & Independent Director	3	Yes	-	1	-	-
Shri Ashok M. Saraf	Non-Executive & Independent Director	3	Yes	1	-	-	-
Shri Laxmidas V. Merchant	Non-Executive & Independent Director	4	No	2	1	2	-
Shri Anurag P. Poddar	Executive Director	4	Yes	-	6	-	-
Shri Rajiv A. Poddar	Executive Director	4	Yes	-	6	-	-
Shri BasantKumar G. Bansal	Whole Time Director	4	Yes	-	-	-	-

1. Shri Arvind M Poddar and Shri Rajiv A Poddar are relatives of each other.
2. Shri Dharaprasad R Poddar is a relative of Shri Ramesh D Poddar and Shri Anurag P Poddar and vice versa.

Number of Board Meetings held and the dates on which held:

The Company held four Board Meetings during 2009-2010 and the gap between two meetings did not exceed four months.

The meetings were held on 16th May, 2009, 21st July, 2009, 30th October, 2009 and 30th January, 2010.

The information as required under Annexure 1A to Clause 49 of the listing agreement is being made available to the Board. These are submitted either as a part of the agenda papers well in advance of the Board meetings or are tabled in the course of the Board meetings.

Apart from payment of sitting fees, the Company did not have any material pecuniary relationship or transactions with Non-Executive Directors during the year.

Code of Conduct:

The Board of Directors has adopted the Code of Conduct for Directors and Senior Management Personnel. The said Code has been communicated to the Directors and the Members of the Senior Management. The Code has also been posted on the Company's website www.bkt-tires.com

Corporate Governance Report

Remuneration to Directors:

The Board of Directors on the recommendation of the Remuneration Committee fixes remuneration of Whole Time Directors and thereafter the same is approved by the shareholders at a General Meeting.

The Board of Directors takes all decisions regarding the remuneration of Non-executive Directors.

The details of the remuneration of Directors for the year are given below:

(Rupees)						
Name of the Director	Salary	Prequisites and Allowances	Commission	Sitting Fees	Total	Service Contract
Shri Dharaprasad R. Poddar	NIL	NIL	NIL	50,000	50,000	*
Shri Arvind M. Poddar	60,00,000	57,55,889	1,80,00,000	NIL	2,97,55,889	01.08.2006 to 31.07.2011
Shri Ramesh D. Poddar	NIL	NIL	NIL	40,000	40,000	*
Shri Sachin Nath B. Chaturvedi	NIL	NIL	NIL	80,000	80,000	*
Shri Khurshed M. Doongaji	NIL	NIL	NIL	40,000	40,000	*
Shri Rakesh N. Garodia	NIL	NIL	NIL	40,000	40,000	*
Shri Subhash Chand B. Mantri	NIL	NIL	NIL	60,000	60,000	*
Shri Ashok M. Saraf	NIL	NIL	NIL	30,000	30,000	*
Shri Laxmidas V. Merchant	NIL	NIL	NIL	40,000	40,000	*
Shri Anurag P. Poddar	24,00,000	22,71,600	72,00,000	NIL	1,18,71,600	22.01.2009 to 21.01.2014
Shri Rajiv A. Poddar	24,00,000	22,88,266	72,00,000	NIL	1,18,88,266	22.01.2009 to 21.01.2014
Shri BasantKumar G. Bansal	15,48,000	28,86,027	NIL	NIL	44,34,027	26.07.2008 to 31.07.2013

* Retire by rotation

The Company does not have Stock Option Scheme.

Notice Period

The Notice Period for the Whole Time Directors/Managing Director is three months from either side for resigning/terminating from the services of the Company.

Severance Fees

No Severance Fees has been paid or payable by the Company.

Details of Shareholding of Directors as on 31st March, 2010:

Name of Director	No. of Shares held of Rs. 10 Each
Shri Dharaprasad R. Poddar	5,052
Shri Arvind M. Poddar	100
Shri Ramesh D. Poddar	10,000
Shri Anurag P. Poddar	30,766
Shri Rajiv A. Poddar	95,258

Audit Committee:

The Audit Committee comprises of three independent non-executive Directors viz. Shri Subhash Chand B. Mantri (Chairman), Shri Sachin Nath B. Chaturvedi and Shri Rakesh N. Garodia.

All the members have financial and accounting knowledge and the Chairman, Shri Subhash Chand B. Mantri, is a Chartered Accountant. The Company Secretary, Shri Vipul R. Shah, acts as the Secretary of the Committee.

The broad terms of reference of Audit Committee were: To review reports of the Internal Auditors and discuss the same with the Internal Auditors periodically, to meet the Statutory Auditors to discuss their findings, suggestions and other related matters, to review weaknesses, if any, in internal controls reported by the Internal and Statutory Auditors.

The scope of the activities of the Audit Committee includes the areas prescribed by Clause 49 II (D), (E) and has been granted powers as prescribed under Clause 49 II (C), of the Listing Agreement.

The Audit Committee met for four times during the year on 16th May, 2009, 21st July, 2009, 30th October, 2009 and 30th January, 2010, where all the members were present, except Shri Rakesh N. Garodia was absent in the meetings held on 21st July, 2009 and 30th January, 2010 and Shri Subhash Chand B. Mantri was absent in the meeting held on 16th May 2009.

The Chairman of the Audit committee was present at the last Annual General Meeting held on 1st August, 2009.

Subsidiary Companies:

The Company does not have any material non-listed Indian Subsidiary Company. The Audit Committee reviews the financial statements and investments made by unlisted Subsidiary Companies. The minutes of the Board Meeting as well as statements

Corporate Governance Report

of all significant transactions and arrangements entered into by the unlisted subsidiary companies are placed regularly before the Board of Directors for their review.

Remuneration Committee:

The Remuneration committee comprises of Shri Subhash Chand B. Mantri (Chairman) and Shri Rakesh N. Garodia.

The terms of reference of the Remuneration Committee, inter alia consists of reviewing remuneration policy and other employment terms of the Whole Time Directors.

Remuneration Policy

Subject to the approval of the Board and of the Company in its General Meeting and such other approval as may be necessary, the Whole Time Directors are paid remuneration as per their terms of appointments. The remuneration structure comprises of salary, allowances, commissions, perquisites and employee benefits, if any.

Share Transfer and Shareholders'/ Investors' Grievance Committee:

The Share Transfer and Shareholders'/Investors' Grievance Committee comprises of Shri Dharaprasad R. Poddar (Chairman), Shri Arvind M. Poddar and Shri Ramesh D. Poddar. The Company Secretary, Shri Vipul R. Shah, has been designated as Compliance Officer.

During the year, the Company held four Shareholders'/Investors' Grievance Committee Meetings. The meetings were held on 16th April, 2009, 10th July, 2009, 9th October, 2009 and 15th January, 2010 where all the members of the Committee were present for the said meetings.

During the year ended 31st March 2010, two Shareholder Complaints/ queries were received which were attended to and resolved satisfactorily during the year. There was no complaint pending as on 31st March, 2010.

As at 31st March 2010, there was no Share Transfer pending for Registration for more than 30 days.

General Body Meeting:

Details of the last three Annual General Meetings

Year	Location	Date	Time
2006-2007 45 th AGM	G-4/1 "MIDC" Tarapur(Boisar) (Maharashtra)	11/08/2007	10.45 a.m.
2007-2008 46 th AGM	G-4/1 "MIDC" Tarapur(Boisar) (Maharashtra)	23/08/2008	12:30 p.m.
2008-2009 47 th AGM	G-4/1 "MIDC" Tarapur(Boisar) (Maharashtra)	01/08/2009	11:30 a.m.

Special Resolution passed in the Previous 3 Annual General Meetings:

At the 45th Annual General Meeting held on 11th August, 2007, one Special Resolution was passed pertaining to appointment of Shri Trilok Chand D. Goel as a Whole Time Director.

At the 46th Annual General Meeting held on 23rd August, 2008, one Special Resolution was passed pertaining to amendment/insertion of Articles in Articles of Association of the Company.

At the 47th Annual General Meeting held on 1st August, 2009, four Special Resolutions were passed, three Special resolutions pertaining to appointment of Shri Basantkumar G. Bansal, Shri Anurag P. Poddar and Shri Rajiv A. Poddar as Whole time directors and fixation of their remuneration and one special resolution pertaining to revision of remuneration payable to Shri Arvind M. Poddar, the Managing Director.

The Resolutions were put to vote by show of hands and were passed unanimously.

Postal ballots:

No Postal Ballot was conducted during the year.

Disclosure:

None of the transactions with any of the related parties were in conflict with the interest of the Company.

During the last three years, no penalties or strictures have been imposed on the Company by the Stock Exchanges or SEBI or any statutory authority on any matters related to capital markets.

The Company has complied with all the mandatory requirements of Clause 49 of the Listing Agreement relating to Corporate Governance. Further, the Company has adopted following non-mandatory requirements of the Clause.

A Certificate from CFO and CEO was placed before the Board.

The Company has set up the remuneration Committee as per the provision of Clause 49.

Means of Communication:

The Board of Directors of the Company approves and takes on record the un-audited financial results in the Proforma prescribed by the Stock Exchanges, within one month of close of quarter/half year and announces forthwith the results to all the Stock Exchanges where the shares of the Company are listed. Further, the results are published in newspapers (The Economic Times and Maharashtra Times), as prescribed. As the Company publishes the audited annual results within the stipulated period of three months as required by the listing agreement with the Stock Exchanges, the un-audited results for the last quarter of the financial year are not separately published.

Management Discussion and Analysis is a part of the Annual Report.

General Shareholder Information:

Annual General Meeting :	
Date	23 rd August, 2010
Time	12.30 P.M.
Venue	Plot No.: G-4/1, MIDC, Tarapur, Boisar – 401506
Date of Book Closure	19 th August, 2010 to 21 st August, 2010 (both days inclusive)

Corporate Governance Report

Financial Calendar for the year 2010-11 :

Financial Year	
First Quarterly Results	Within 45 days from the end of quarter
Half Yearly Results	Within 45 days from the end of quarter
Third Quarter Results	Within 45 days from the end of quarter
Results for year end	Within 60 days from the end of financial year.

Listing on Stock Exchange

The Company's Shares are listed on Bombay Stock Exchange Limited and on National Stock Exchange of India Limited.

Stock Code

Bombay Stock Exchange Limited
Scrip Code No.: 502355 (Demat)
National Stock Exchange of India Limited
NSE Code: BALKRISIND
ISIN NO. : INE787D01018

Foreign Currency Convertible Bonds (FCCB) listed at

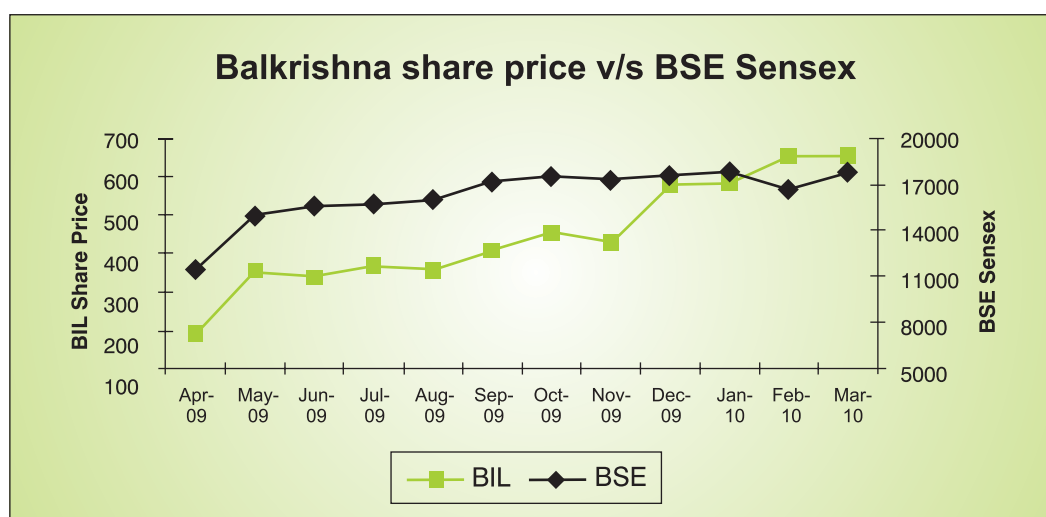
Singapore Exchange Limited
2 Shenton Way, 19-00, SGX Centre 1,
Singapore 068804

Shareholding Pattern as on 31st March 2010:

Particulars	No. of Shares	%
Promoters	10510102	54.37
Mutual Funds / UTI	2668059	13.80
Companies	451912	2.34
Public	2647371	13.69
Non Resident	57917	0.30
Foreign Institutional Investors	2996358	15.50
TOTAL	19331719	100.00

Market Price Data (Rs.) :

Month	Bombay Stock Exchange Limited (BSE)		National Stock Exchange of India Limited (NSE)	
	High	Low	High	Low
Apr-09	189.95	135.10	188.90	136.50
May-09	354.65	180.05	354.00	178.10
Jun-09	338.00	251.00	340.00	257.35
Jul-09	367.00	231.30	358.50	230.10
Aug-09	357.30	295.05	350.00	260.15
Sep-09	408.00	319.05	406.00	304.00
Oct-09	454.90	339.00	455.30	356.00
Nov-09	427.70	388.45	432.10	363.10
Dec-09	578.00	394.50	578.10	362.50
Jan-10	583.30	503.70	583.80	498.00
Feb-10	653.00	536.00	654.80	530.00
Mar-10	655.00	575.00	689.00	585.00



Corporate Governance Report

Share Transfer System:

The Company has entered into an agreement with SHAREPRO SERVICES (India) PRIVATE LIMITED to act as Share Transfer Agent of the Company with effect from April 01, 2003. SHAREPRO SERVICES (India) PRIVATE LIMITED is also the Company's Depository Interface for both NSDL and CDSL. Accordingly, all documents, transfers, transmission, demat requests and other communications in relation thereto are required to be addressed to the Registrars directly at their following Offices:

Registered Office: M/s Sharepro Services (India) Pvt. Ltd. (Unit: Balkrishna Industries Limited) 13AB Samhita Warehousing Complex, 2nd Floor, Near Sakinaka Telephone Exchange, Andheri Kurla Road, Sakinaka Andheri (E), Mumbai – 400 072

Contact Nos. 022-67720300, 67720400
 Fax no : 022-28591568/28508927
 Email: sharepro@shareproservices.com

Investor Relation Centre: M/s Sharepro Services (India) Pvt Ltd. (Unit: Balkrishna Industries Limited)
 912, Raheja Centre, Free Press Journal Road, Nariman Point, Mumbai 400 021

Contact No. 022- 66134700

Distribution of shareholding as on 31st March, 2010 :

No. of Equity Shares Held	No. of Shareholders	% of Shareholders	No. of Shares held	% Share holding
1 to 500	6592	89.16	565770	2.93
501 to 1000	328	4.44	237285	1.23
1001 to 2000	195	2.64	272042	1.41
2001 to 3000	85	1.15	210532	1.09
3001 to 4000	39	0.53	135205	0.70
4001 to 5000	20	0.27	91705	0.47
5001 to 10000	46	0.62	329226	1.70
10001 & above	88	1.19	17489954	90.47
Total	7393	100.00	19331719	100.00

Dematerialisation of shares and liquidity:

The Company has entered into agreements with both National Securities Depository Limited (NSDL) and Central Depository Services Limited (CDSL) whereby shareholders have an option to dematerialise their shares with either of the depositories. As on 31st March 2010, 97.48% of Company's Share Capital was dematerialised.

Out Standing Foreign Currency Convertible Bonds (FCCB):

As on 31st March, 2010 FCCBs (USD 22 million) are outstanding, which were issued in the financial year 2006. The said bonds are convertible into equity shares, at the option of the holders, on or before 31st December, 2010.

Plant Locations :

TYRE MANUFACTURING	:	B-66, Waluj MIDC, Waluj Indl. Area, Dist. Aurangabad 431 136 (Maharashtra)
	:	SP-923, RIICO Phase-III, P.O. Bhiwadi 301 019 Dist. Alwar (Rajasthan)
	:	RIICO, Phase VIII, Chopanki P.O. Bhiwadi 301 707 Dist. Alwar. (Rajasthan)
WIND FARM	:	Village Soda Mada, Tehsil: Fatehgarh, Dist. Jaisalmer (Rajasthan)
MOULD UNIT	:	Plot No. TS-1, MIDC, Phase No.II, Dombivali (E) 421 201, Dist. Thane (Maharashtra)

For and on behalf of the Board of Directors

Place : Mumbai
 Dated : 16th July, 2010

DHARAPRASAD PODDAR
 Chairman

Auditors' Certificate

To,
The Members of Balkrishna Industries Limited

I Arvind M. Poddar, Managing Director of Balkrishna Industries Limited declare that to the best of my knowledge and belief, all the members of the Board of Directors and Senior Management Personnel have affirmed compliance with the Code of Conduct for the year ended March 31, 2010.

For Balkrishna Industries Ltd.

Arvind M. Poddar
Managing Director

Place : Mumbai,
Dated : 16th July, 2010

Auditors' Certificate

On Compliance with the conditions of Corporate Governance under Clause 49 of the Listing Agreements.

To the Members of
Balkrishna Industries Limited

We have examined the compliance of conditions of Corporate Governance by Balkrishna Industries Limited (the Company) for the year ended March 31, 2010, as stipulated in Clause 49 of the Listing Agreement of the said Company with the Stock Exchanges.

The compliance of conditions of Corporate Governance is the responsibility of the Management. Our examination was limited to procedures and implementation thereof, adopted by the Company for ensuring the compliance of the conditions of Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In our opinion and to the best of our information and according to the explanations given to us and the representations made by the Directors and the Management, we certify that the Company has complied with the conditions of Corporate Governance as stipulated in the above mentioned Listing Agreement.

We further state that such compliance is neither an assurance to the future viability of the Company nor the efficiency or effectiveness with which the Management has conducted the affairs of the Company.

For **JAYANTILAL THAKKAR & CO.**
Chartered Accountants
(ICAI Reg. No. 104133W)

Place : Mumbai,
Dated : 16th July, 2010

ASHOK J THAKKER
Partner
Membership No. 7860

Annexure - II

The following is the list of persons constituting “Group” (within the meaning as defined in the Monopolies and Restrictive Trade Practices Act, 1969) for the purposes of availing exemption from the applicability of the provisions of Regulations 10 to 12 of the Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 1997 (“the said Regulations”), as provided in Clause 3(1)(e)(i) of the said Regulations:

Sr. No.	Name	Sr. No.	Name
A	Companies	B	Individuals
1	S P Finance & Trading Ltd.	20	Smt Anuja Mundra
2	Balgopal Holdings & Traders Ltd.	21	Smt Shivani Tiberwala
3	Vishal Furnishings Ltd.	22	Smt Tribenidevi Mahabirprasad Poddar
4	Poddar Brothers Investment Pvt. Ltd.	23	Smt Shyamlata Sureshkumar Poddar
5	Sanchna Trading & Finance Ltd.	24	Shri Rishabh Sureshkumar Poddar
6	SP Investrade (India) Ltd.	25	Shri Arvindkumar Mahabirprasad Poddar
7	SPG Realty Pvt. Ltd.	26	Smt Vijaylaxmi Arvindkumar Poddar
8	Poddar Bio-Diesel Pvt. Ltd.	27	Shri Rajiv Arvindkumar Poddar
9	Oxemberg Clothing Ltd.	28	Smt Khushboo Rajiv Poddar
10	Siyaram Polycote Ltd.	29	Shri Vinodkumar Mahabirprasad Poddar
11	Oxemberg Fashions Ltd.	30	Smt Sunita Vinodkumar Poddar
12	Beetee Textile Industries Ltd.	31	Shri Rahul Vinodkumar Poddar
13	Santigo Textile Mills Pvt. Ltd.	32	Smt Shefali Rahul Poddar
14	Balkrishna Paper Mills Ltd.	33	Ms Rishita Vinodkumar Poddar
15	Balkrishna Synthetics Ltd.	34	Smt Aarti Shorewala
16	BKT Moulds Ltd.	35	Smt Aanchal Deora
17	BKT Tyres Ltd.	36	Smt Shikha Kandoi
18	BKT Exim Ltd.	37	Smt Pooja Dhoot
19	SPG Power Ltd.	C	Partnership Firms
20	SPG Infrastructure Ltd.	1	Fabwear Garment
21	Futuristic Concept Media Ltd.	2	Tirupati Realty
22	Seeom Fabrics Ltd.	3	Balaji Realty
23	Paramount Minerals & Chemicals Ltd.	4	Shree Siyaram Textiles
24	Image Commercials Private Ltd.	D	HUFs
25	GRL International Ltd.	1	Dharaprasad & Sons HUF
26	Govind Rubber Ltd.	2	Dharaprasad Poddar & Co. HUF
27	Siyaram Silk Mills Ltd.	3	Rameshkumar Poddar & Bros.HUF
28	Trendline Commercials Pvt.Ltd.	4	Rameshkumar Poddar & Co.HUF
29	Wavelink Commercials Pvt.Ltd.	5	Pawankumar Poddar & Co.HUF
B	Individuals	6	Pramod Poddar HUF
1	Shri Dharaprasad Ramrikhdas Poddar	7	Dharaprasad Pramodkumar HUF
2	Smt Geetadevi Dharaprasad Poddar	8	Shrikishan Poddar HUF
3	Shri Rameshkumar Dharaprasad Poddar	9	Mahabirprasad Poddar & Co.HUF
4	Smt Ashadevi Rameshkumar Poddar	10	Arvindkumar Sureshkumar Poddar HUF
5	Shri Pawankumar Dharaprasad Poddar	11	Sureshkumar Poddar & Co.HUF
6	Smt Madhudevi Pawankumar Poddar	12	Mahabirprasad & Sons HUF
7	Shri Avnish Pawankumar Poddar	13	Sureshkumar Poddar & Bros.HUF
8	Smt Vithika Avnish Poddar	14	Arvind Poddar HUF
9	Mst Agastya Avnish Poddar	15	Mahabirprasad Vinodkumar HUF
10	Shri Anurag Pawankumar Poddar	16	Vinod Poddar HUF
11	Smt Megha Anurag Poddar	E	Limited Liability Partnership
12	Smt Sangeeta Pramodkumar Poddar	1	DPP Enterprises LLP
13	Shri Gaurav Pramodkumar Poddar	2	GPP Enterprises LLP
14	Smt Smriti Gaurav Poddar	3	PKP Enterprises LLP
15	Shri Ankit Pramodkumar Poddar	4	HSP Enterprises LLP
16	Shri Shrikishan Dharaprasad Poddar	5	TMP Enterprises LLP
17	Smt Vibha Shrikishan Poddar	6	AKP Enterprises LLP
18	Shri Abhishek Shrikishan Poddar	7	RAP Enterprises LLP
19	Shri Harshit Shrikishan Poddar	8	VKP Enterprises LLP

The Financial Section

Auditors' Report to the Members

1. We have audited the attached Balance Sheet of **BALKRISHNA INDUSTRIES LIMITED**, as at 31st March, 2010 and also the Profit and Loss Account and the Cash Flow Statement for the year ended on that date annexed thereto. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audit.
2. We conducted our audit in accordance with auditing standards generally accepted in India. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.
3. As required by the Companies (Auditor's Report) Order, 2003 ('the Order') issued by the Central Government of India in terms of sub-section (4A) of Section 227 of the Companies Act, 1956, ('the Act'), we enclose in the Annexure a statement on the matters specified in paragraphs 4 and 5 of the said Order.
4. Further to our comments in the Annexure referred to in paragraph 3 above, we report that :
 - i) We have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purposes of our audit;
 - ii) In our opinion, proper books of account as required by law have been kept by the Company so far as appears from our examination of those books;
 - iii) The Balance Sheet, Profit and Loss Account and Cash Flow Statement dealt with by this report are in agreement with the books of account;
 - iv) In our opinion, the Balance Sheet, Profit and Loss Account and Cash Flow Statement dealt with by this report comply with the accounting standards referred to in sub-section (3C) of Section 211 of the Act;
 - v) On the basis of written representations received from the directors, as on 31st March, 2010 and taken on record by the Board of Directors, we report that none of the directors is disqualified as on 31st March, 2010 from being appointed as a director in terms of clause (g) of sub-section (1) of Section 274 of the Act;
 - vi) In our opinion and to the best of our information and according to the explanations given to us, the said accounts, read together with the Accounting Policies and Notes to Accounts, appearing in Schedule 'R' to the accounts, give the information required by the Act, in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India:
 - a. in the case of the Balance Sheet, of the state of affairs of the Company as at 31st March, 2010;
 - b. in the case of the Profit and Loss Account, of the PROFIT for the year ended on that date; and
 - c. in the case of Cash Flow Statement, of the cash flows for the year ended on that date.

FOR JAYANTILAL THAKKAR & CO.
Chartered Accountants
(ICAI Reg. No. 104133W)

ASHOK J. THAKKAR
Partner
Membership No. 7860

Mumbai,
Dated : 29th May, 2010

Annexure to the Auditors' Report

Referred to in paragraph 3 of our Report of even date on the accounts of Balkrishna Industries Limited for the year ended 31st March, 2010.

- i)
 - a) The Company has maintained proper records showing full particulars, including quantitative details and situation of fixed assets.
 - b) As explained to us, physical verification of these fixed assets is being conducted in a phased programme by the management designed to cover all the assets over a period of three years, which in our opinion is reasonable having regard to the size of the Company and the nature of assets. According to the information and explanations given to us no material discrepancies were noticed on such verification.
- c) The fixed assets disposed off during the year, in our opinion, do not constitute substantial part of the fixed assets of the Company and such disposal has, in our opinion, not affected the going concern status of the Company.
- ii)
 - a) As explained to us, the inventories were physically verified during the year at intervals by the management. The goods in the possession of third parties as on 31st March, 2010 have been verified by the management with reference to the confirmation obtained from the third parties. In our opinion, the frequency of verification is reasonable.
 - b) In our opinion and according to the information and explanations given to us, the procedures of

physical verification of inventories followed by the management were reasonable and adequate in relation to the size of the Company and the nature of its business.

- c) In our opinion and according to the information and explanations given to us, the Company has maintained proper records of its inventories and the discrepancies noticed on such physical verification between physical stocks and book records were not material considering the operations of the Company and the same have been properly dealt with in the books of account.
- iii) a) As per the information and explanations given to us, the Company has granted unsecured loan to one party, a wholly owned subsidiary, covered in the register maintained under Section 301 of the Act. The maximum amount involved during the year was Rs.1,68,67,690 and the year-end balance of the loan granted was Rs. 1,23,67,690.
- b) According to the information and explanations given to us, the terms and conditions of the loans, including that of not charging the interest to the subsidiary, in our opinion and having regard to the holding and subsidiary company relationship, are not, prima facie, prejudicial to the interest of the Company.
- c) As per the information and explanations given to us and in our opinion, the receipt of the principal amount was regular.
- d) As per the information and explanations given to us, the outstanding amount of the loan given was not overdue.
- e) As per the information and explanations given to us, the Company has taken unsecured loans from one party, a wholly owned subsidiary, covered in the register maintained under Section 301 of the Act. The maximum amount involved during the year was Rs. 8,50,00,000 and the year-end balance of loans taken was Rs. NIL.
- f) In our opinion and as per the information and explanations given to us, the rate of interest and other terms and conditions of such loans taken by the Company were not, prima facie, prejudicial to the interest of the Company.
- g) In our opinion and as per the information and explanations given to us, the Company was regular in repaying the principal amount as stipulated and was regular in payment of interest.
- iv) In our opinion and according to the information and explanations given to us, there is an adequate internal control system commensurate with the size of the Company and nature of its business for the purchase of inventory and fixed assets and for sale of goods. During the course of audit, we have not observed any

continuing failure to correct major weaknesses in internal control system.

- v) a) Based on the audit procedures applied by us and according to the information and explanations given to us, we are of the opinion that the particulars of contracts or arrangements referred to in Section 301 of the Act have been entered in the register required to be maintained under that Section.
- b) In our opinion and as per the information and explanations given to us, the transactions made in pursuance of contracts or arrangements entered in the register maintained under section 301 of the Act and exceeding the value of rupees five lakhs in respect of any party during the year have been made at prices which are reasonable having regard to prevailing market prices at the relevant time except the interest free loan granted by the Company to one of its subsidiaries.
- vi) In our opinion and according to the information and explanations given to us, the Company has not accepted deposits in terms of the provisions of Section 58A, 58AA and any other relevant provisions of the Act and the rules framed there under.
- vii) In our opinion, the Company has an internal audit system commensurate with its size and nature of its business.
- viii) We have broadly reviewed the books of account maintained by the Company pursuant to the Rules made by the Central Government for the maintenance of cost records under Section 209 (1) (d) of the Act and are of the opinion that, prima facie, the prescribed accounts and records have been made and maintained. We have not, however, made a detailed examination of the records with a view to determine whether they are accurate or complete.
- ix) a) According to the information and explanations given to us and on the basis of our examination of the books of account, the Company has been generally regular in depositing undisputed statutory dues including Provident Fund, Investor Education and Protection Fund, Employees' State Insurance, Income Tax, Sales Tax, Service Tax, Custom Duty, Excise Duty, Cess and other material statutory dues, to the extent applicable, during the year with the appropriate authorities though there have been delays in few cases. However, as at 31st March, 2010 there were no undisputed dues outstanding for a period of more than six months from the date they became payable. During the year, the Company was not required to deposit any dues in respect of Wealth Tax.
- b) According to the information and explanations given to us, the dues in respect of Income Tax,

Sales Tax, Service Tax and Excise Duty that have not been deposited with the appropriate authorities on account of dispute and the forum where the disputes are pending are given below:-

Name of Statute	Nature of Dues	Amount (Rs.)	Period to which the Amount Relates	Forum where dispute is pending
Income Tax Act	Income Tax (Including Interest)	33,40,825	2003-04	Tribunal
Sales Tax Act	Sales Tax (Including Interest and Penalty)	2,24,10,971	1996-98, 1999-2000-02, 2004-05	Tribunal
		1,05,61,115	1997-99, 2002-04	Commissioner (Appeals)
		1,68,65,456	2003-06	Assessing Authority
Finance Act	Service Tax	63,444	2004-06	Commissioner (Appeals)
Central Excise Act	Excise Duty (Including Interest and Penalty)	5,35,114	2002-05	High Court
		73,50,325	2006-07	Govt. of India, Ministry of Finance, Department of Revenue (Revision)
		26,09,071	2004-06	Tribunal
		9,33,106	1999-2001	Commissioner (Appeals)
		2,43,71,333	1994-2004	Assessing Authority

As per the information given to us, there are no dues of Custom Duty or Cess, which have not been deposited on account of any dispute. The Company is not liable to pay Wealth Tax.

- x) The Company does not have any accumulated losses at the end of the current financial year and has not incurred cash losses during current financial year and in the immediately preceding financial year.
- xi) Based on our audit procedures and according to the information and explanations given to us, we are of the opinion that the Company has not defaulted in repayment of dues to banks.
- xii) According to the information and explanations given to us, the Company has not granted loans and advances on the basis of security by way of pledge of shares, debentures and other securities.
- xiii) In our opinion, the Company is not a chit fund/nidhi/mutual benefit fund/society. Therefore, the provisions of clause 4 (xiii) of the Order are not applicable to the Company.
- xiv) According to the information and explanations given to us, the Company is not dealing or trading in shares, securities, debentures and other investments. Accordingly, the provisions of clause 4 (xiv) of the Order are not applicable to the Company.
- xv) As per the information and explanations given to us, the Company has not given any guarantee for loans taken by others from bank or financial institutions.
- xvi) As per the information and explanations given to us, in our opinion, the term loan has been applied for the purpose for which it was obtained.

xvii) According to the information and explanations given to us and on an overall examination of the balance sheet of the Company, in our opinion, no funds raised on short-term basis have been used for long-term investment.

xviii) The Company has not made any preferential allotment of shares to parties and companies covered in the register maintained under Section 301 of the Act during the year.

xix) The Company has not issued any debentures during the year.

xx) During the year the Company has not raised funds by public issue. Therefore, the provisions of clause 4 (xx) of the Order are not applicable to the Company.

xxi) Based upon the audit procedures performed and to the best of our knowledge and belief and according to the information and explanations given to us, no fraud on or by the Company has been noticed or reported during the year.

FOR JAYANTILAL THAKKAR & CO.
Chartered Accountants
(ICAI Reg. No. 104133W)

Mumbai,
Dated : 29th May, 2010

ASHOK J. THAKKAR
Partner
Membership No. 7860

BALANCE SHEET

AS AT 31ST MARCH, 2010

	Schedule	Rupees	Current Year Rupees	Previous Year Rupees
I. SOURCES OF FUNDS				
1. SHAREHOLDERS' FUNDS :				
a) Capital	'A'	19,33,17,190		19,33,17,190
b) Reserves and Surplus	'B'	641,44,36,985		448,49,59,735
			660,77,54,175	467,82,76,925
2. LOAN FUNDS :				
a) Secured Loans	'C'	264,26,75,987		331,09,05,365
b) Unsecured Loans	'D'	200,06,06,435		141,72,03,039
			464,32,82,422	472,81,08,404
3. DEFERRED TAX LIABILITY (NET) (Refer Note No. 17 in Schedule 'R')			54,81,18,013	52,38,71,082
TOTAL			1179,91,54,610	993,02,56,411
II. APPLICATION OF FUNDS				
1. FIXED ASSETS :	'E'			
a) Gross Block		871,46,71,090		738,79,49,784
b) Less : Depreciation		256,58,36,783		204,23,99,992
c) Net Block		614,88,34,307		534,55,49,792
d) Capital Work-in-Progress		58,86,99,870		74,71,70,042
			673,75,34,177	609,27,19,834
2. INVESTMENTS	'F'		80,72,64,845	32,22,58,235
3. CURRENT ASSETS, LOANS AND ADVANCES :				
a) Inventories	'G'	203,05,26,486		122,25,77,172
b) Sundry Debtors	'H'	240,30,39,537		219,08,11,465
c) Cash and Bank Balances	'I'	4,22,79,418		11,13,89,408
d) Other Current Assets	'J'	2,87,337		6,08,763
e) Loans and Advances	'K'	369,64,70,172		278,31,26,649
		817,26,02,950		630,85,13,457
Less : CURRENT LIABILITIES AND PROVISIONS :				
a) Liabilities	'L'	114,90,45,306		84,70,03,347
b) Provisions	'M'	276,92,02,056		194,62,31,768
		391,82,47,362		279,32,35,115
NET CURRENT ASSETS			425,43,55,588	351,52,78,342
TOTAL			1179,91,54,610	993,02,56,411
ACCOUNTING POLICIES AND NOTES TO THE ACCOUNTS	'R'			

The Schedules referred to above form an integral part of the Balance Sheet.

As per our report of even date attached

For JAYANTILAL THAKKAR & CO.
Chartered Accountants

ASHOK J. THAKKAR
Partner

Mumbai,
Dated: 29th May, 2010

VIPUL R. SHAH
Company Secretary

For and on behalf of the Board of Directors

D.P. PODDAR Chairman
A.M. PODDAR Vice Chairman & Managing Director
R.D. PODDAR Director
B.K. BANSAL Director (Finance)

Mumbai,
Dated: 29th May, 2010

PROFIT & LOSS ACCOUNT



FOR THE YEAR ENDED 31ST MARCH, 2010

	Schedule	Current Year Rupees	Previous Year Rupees
INCOME :			
Sales and Related Income	'N'	1397,91,84,462	1261,31,43,337
Less: Excise Duty Recovered on Sales		10,95,87,977	8,97,92,268
		1386,95,96,485	1252,33,51,069
Other Income	'O'	26,43,85,456	4,91,47,966
		1413,39,81,941	1257,24,99,035
EXPENDITURE :			
Manufacturing, Trading and Other Expenses	'P'	1017,19,09,826	1055,34,60,746
Interest and Finance Charges	'Q'	18,65,89,946	37,50,44,574
Depreciation and Amortisation		66,21,60,844	56,51,62,762
		1102,06,60,616	1149,36,68,082
PROFIT BEFORE TAX		311,33,21,325	107,88,30,953
Less : Provision for Taxation			
- Current Tax		102,38,00,000	27,40,00,000
- Deferred Tax (Net)		2,42,46,931	9,43,79,588
- Fringe Benefit Tax		NIL	1,10,00,000
PROFIT AFTER TAX		206,52,74,394	69,94,51,365
(Less)/Add: Adjustments relating to earlier years			
Short Provision for (Expenses)/Income (Net)		(16,48,199)	60,14,612
Excess Provision for Taxation - Current Tax of earlier years		2,36,48,386	NIL
Profit before Extra ordinary Item		208,72,74,581	70,54,65,977
Less : Extra ordinary Item (Refer Note No.5 in schedule 'R')		NIL	25,15,075
Profit after Extra ordinary Item		208,72,74,581	70,29,50,902
Balance Brought Forward From Last Year		65,85,61,290	58,58,77,729
PROFIT AVAILABLE FOR APPROPRIATION		274,58,35,871	128,88,28,631
APPROPRIATIONS :			
Transfer to General Reserve		20,87,27,458	49,46,08,660
Interim Dividend		13,53,22,033	NIL
Proposed Final Dividend		NIL	11,59,90,314
Tax on Dividend		2,24,75,298	1,96,68,367
		36,65,24,789	63,02,67,341
Balance Carried to Balance Sheet		237,93,11,082	65,85,61,290
		274,58,35,871	128,88,28,631
Earning Per Share before Extra ordinary item			
- Basic		107.97	36.49
- Diluted		105.50	36.92
Earning Per Share after Extra ordinary item			
- Basic		107.97	36.36
- Diluted		105.50	36.79
(Refer Note No. 19 in Schedule 'R')			

ACCOUNTING POLICIES AND NOTES TO THE ACCOUNTS 'R'

The Schedules referred to above form an integral part of the Profit and Loss Account.

As per our report of even date attached

For JAYANTILAL THAKKAR & CO.
Chartered Accountants

ASHOK J. THAKKAR
Partner

Mumbai,
Dated: 29th May, 2010

VIPUL R. SHAH
Company Secretary

For and on behalf of the Board of Directors

D.P. PODDAR Chairman
A.M. PODDAR Vice Chairman & Managing Director
R.D. PODDAR Director
B.K. BANSAL Director (Finance)

Mumbai,
Dated: 29th May, 2010

SCHEDULES ANNEXED TO AND FORMING PART OF THE BALANCE SHEET AS AT 31ST MARCH, 2010 AND PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED ON THAT DATE

	Rupees	Current Year Rupees	Previous Year Rupees
SCHEDULE 'A'			
SHARE CAPITAL:			
Authorised :			
2,50,00,000 Equity Shares of Rs.10 each		25,00,00,000	25,00,00,000
Issued and Subscribed :			
1,93,31,719 Equity Shares of Rs.10 each, fully paid up		19,33,17,190	19,33,17,190
		19,33,17,190	19,33,17,190
(Of the above Shares :			
i) 1,68,73,160 Equity Shares were allotted as fully paid up, by way of Bonus Shares by capitalisation of Share Premium Account and General Reserve.			
ii) 97,560 Equity Shares were allotted as fully paid up on conversion of convertible portion of partly convertible Debentures.			
iii) 7,60,999 Equity Shares were allotted as fully paid up on conversion of Foreign Currency Convertible Bonds-FCCB.)			
SCHEDULE 'B'			
RESERVES AND SURPLUS:			
Capital Reserves			
Capital Incentive Reserve :			
As per last Balance Sheet	45,00,000		45,00,000
Capital Surplus Reserve :			
As per last Balance Sheet	5,65,55,817		5,65,55,817
		6,10,55,817	6,10,55,817
Share Premium Account :			
As per last Balance Sheet		71,53,42,628	71,53,42,628
General Reserve :			
As per last Balance Sheet	305,00,00,000		255,53,91,340
Add : Transferred from Profit and Loss Account	20,87,27,458		49,46,08,660
		325,87,27,458	305,00,00,000
Surplus in Profit and Loss Account		237,93,11,082	65,85,61,290
		641,44,36,985	448,49,59,735
SCHEDULE 'C'			
SECURED LOANS :			
Working Capital Loans			
- From Banks		230,75,11,487	322,47,44,373
Term Loans			
- From Banks		31,59,80,000	NIL
- From Others		1,91,84,500	8,61,60,992
(Refer Note No. 3 in Schedule 'R')		264,26,75,987	331,09,05,365
SCHEDULE 'D'			
UNSECURED LOANS :			
Loans and Advances from Subsidiary		NIL	1,75,00,000
Short Term Loans and Advances :			
From Banks		98,25,34,901	26,31,07,556
Other Loans and Advances :			
i) 4.5% Foreign Currency Convertible Bonds 'Series B' (Refer Note No. 26 in Schedule 'R')	99,30,80,000		112,09,00,000
ii) Deferred Sales Tax under the scheme of Government of Maharashtra	2,49,91,534		1,56,95,483
		101,80,71,534	113,65,95,483
		200,06,06,435	141,72,03,039

SCHEDULE 'E'

GROSS BLOCK (AT COST)					DEPRECIATION (INCLUDING AMORTISATION)				NET BLOCK	
FIXED ASSETS	AS AT 01-04-2009	ADDITIONS DURING THE YEAR	DEDUCTIONS DURING THE YEAR	AS AT 31-03-2010	TOTAL UPTO 31-03-2009	FOR THE YEAR	DEDUCTIONS DURING THE YEAR	TOTAL UPTO 31-03-2010	AS AT 31-03-2010	AS AT 31-03-2009
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Freehold Land	3,66,23,038	NIL	NIL	3,66,23,038	NIL	NIL	NIL	NIL	3,66,23,038	3,66,23,038
Leasehold Land	7,84,58,756	NIL	NIL	7,84,58,756	37,92,135	8,45,166	NIL	46,37,301	7,38,21,455	7,46,66,621
Buildings and Roads	100,53,64,916	60,96,05,024	1,19,72,986	160,29,96,954	9,16,10,324	3,60,05,811	44,02,297	12,32,13,838	147,97,83,116	91,37,54,592
Plant and Machinery	565,08,68,321	79,79,33,079	13,76,00,849	631,12,00,551	181,43,36,894	59,11,20,617	12,74,90,693	227,79,66,818	403,32,33,733	383,65,31,427
Factory, Office and Other Equipments	29,48,72,684	3,33,50,796	13,58,204	32,68,65,276	6,37,79,058	1,73,19,716	7,74,099	8,03,24,675	24,65,40,601	23,10,93,626
Electric Installations	19,54,75,049	1,97,38,103	1,06,96,261	20,45,16,891	3,77,03,846	92,61,876	1,00,65,623	3,69,00,099	16,76,16,792	15,77,71,203
Furniture and Fixtures	5,21,92,610	69,55,006	NIL	5,91,47,616	1,36,48,409	33,20,518	NIL	1,69,68,927	4,21,78,689	3,85,44,201
Vehicles	3,43,40,833	1,69,45,466	9,00,665	5,03,85,634	60,63,612	33,66,610	90,846	93,39,376	4,10,46,258	2,82,77,221
Air Conditioners	84,57,846	27,17,499	2,65,875	1,09,09,470	13,66,863	4,52,088	92,476	17,26,475	91,82,995	70,90,983
Intangible Assets - Computer Software	3,12,95,731	25,79,923	3,08,750	3,35,66,904	1,00,98,851	46,60,423	NIL	1,47,59,274	1,88,07,630	2,11,96,880
Current Year Total	738,79,49,784	148,98,24,896	16,31,03,590	871,46,71,090	204,23,99,992	66,63,52,825 *	14,29,16,034	256,58,36,783	614,88,34,307	—
Previous Year Total	572,06,76,315	167,44,44,919	71,71,450	738,79,49,784	147,60,37,106	56,91,69,575	28,06,689	204,23,99,992	—	534,55,49,792
Capital Work In Progress (Including capital advances of Rs.26,05,23,008 (Previous Year Rs.17,86,00,401))									58,86,99,870	74,71,70,042

* Including depreciation capitalised Rs.41,91,981 (Previous Year Rs.40,06,814) and short Depreciation of Rs.15,85,462 of earlier years (Previous Year net of Rs. 7,06,144 for excess depreciation of earlier years)

SCHEDULE 'F'

INVESTMENTS :

Other Than Trade (unless otherwise stated) :
(Fully paid up)

LONG TERM INVESTMENTS (At Cost) :

Unquoted :

In Shares:

VS Lignite Power Private Limited (Trade) :

5,77,777 Class 'A' Equity Shares of Rs.10 each

11,14,223 Class 'A' 0.01% Cumulative Redeemable
Preference Shares of Rs. 10 each

In Subsidiaries (Trade) :

In Shares:

Balkrishna Paper Mills Limited :

30,00,000 Equity Shares of Rs. 10 each

19,50,000 1% Optionally Convertible Redeemable
Preference Share of Rs.10 each.

Balkrishna Synthetics Limited :

10,00,000 Equity Shares of Rs. 10 each

6,50,000 1% Optionally Convertible Redeemable
Preference Share of Rs.10 each.

3,00,000 Equity Shares of BKT EXIM Limited of Rs.10 each .

40,000 Equity Shares of BKT Tyres Limited of Rs.10 each.

In Government Securities :

6 Year National Savings Certificates (Purchased during
the Current Year **Rs.3,000** ; Previous Year Rs.10,000)

(Matured during the Current Year **Rs.10,000**;

Previous Year Rs. 3,000)

Quoted :

In Debentures:

3,000 Nifty Linked Non Convertible, Fully Redeemable,
Secured Debenture of Rs.1,00,000 each

(Market Value not available)

In Shares:

4,98,759 Equity Shares of Govind Rubber Limited of Rs. 10 each

Less: Provision for Diminution in value

Rupees	Current Year Rupees	Previous Year Rupees
57,77,770		57,77,770
1,11,42,230		1,11,42,230
	1,69,20,000	1,69,20,000
3,00,00,000		3,00,00,000
19,50,00,000		19,50,00,000
22,50,00,000		22,50,00,000
1,00,00,000		1,00,00,000
6,50,00,000		6,50,00,000
7,50,00,000		7,50,00,000
30,00,000		30,00,000
4,00,000		4,00,000
	30,34,00,000	30,34,00,000
	32,03,20,000	32,03,20,000
	16,000	23,000
	32,03,36,000	32,03,43,000
30,00,00,000		NIL
1,87,50,059		1,87,50,059
1,68,34,824		1,68,34,824
19,15,235		19,15,235
	30,19,15,235	19,15,235
	62,22,51,235	32,22,58,235

CURRENT INVESTMENTS**[At Lower of Cost and Fair (Market) Value]:**

In Mutual Fund : (Unquoted) *

* (Refer Note No. 16 in Schedule 'R')

SCHEDULE 'G'**INVENTORIES :**

(As certified by the Management)

(At lower of Cost and Net Realisable Value)

Stores and Spares Parts

Fuel

Stock-in-Trade :

Raw Materials

Finished Goods

Work-in-Process

SCHEDULE 'H'**SUNDRY DEBTORS:**

(Unsecured - Considered Good)

Debts outstanding for a period exceeding six months

Other Debts

SCHEDULE 'I'**CASH AND BANK BALANCES :**

Cash Balance on Hand

Bank Balances :

With Scheduled Banks on :

Current Accounts

Unpaid/Unclaimed Dividend Accounts

Fixed Deposits (lodged with Government Authorities)

Margin Accounts (Fixed Deposits)

(Deposits against Guarantees/Letters of Credit)

SCHEDULE 'J'**OTHER CURRENT ASSETS:**

Interest Accrued On

- Investments

- Others

Dividend Accrued on Investments

SCHEDULE 'K'**LOANS AND ADVANCES:**

(Unsecured - Considered Good)

Advances recoverable in cash or in kind or for value to be received

Deposits against payment of Excise Duty

Advance payment of Taxes and Tax Deducted at source

Loans and Advances to Employees

Loan to a Subsidiary

	Rupees	Current Year Rupees	Previous Year Rupees
		18,50,13,610	NIL
		80,72,64,845	32,22,58,235
		14,68,27,828	10,89,16,514
		1,14,39,908	1,08,83,934
	136,90,52,842		54,87,15,396
	30,74,74,864		37,01,40,507
		167,65,27,706	91,88,55,903
		19,57,31,044	18,39,20,821
		203,05,26,486	122,25,77,172
		3,01,52,586	77,48,883
		237,28,86,951	218,30,62,582
		240,30,39,537	219,08,11,465
		22,76,955	38,73,118
	3,23,45,218		8,50,90,069
	74,22,446		71,33,033
	25,000		25,000
	2,09,799		1,52,68,188
		4,00,02,463	10,75,16,290
		4,22,79,418	11,13,89,408
	1,986		7,687
	25,351		3,41,076
		27,337	3,48,763
		2,60,000	2,60,000
		2,87,337	6,08,763
		98,40,12,421	86,69,03,952
		33,329	1,14,835
		269,58,36,148	189,37,45,681
		42,20,584	54,94,491
		1,23,67,690	1,68,67,690
		369,64,70,172	278,31,26,649

64.87.030

	Rupees	Current Year Rupees	Previous Year Rupees
Repairs and Maintenance of:			
Plant and Machinery	5,58,27,220		4,27,21,183
Buildings	11,01,16,553		2,46,40,409
Others	2,84,78,857		2,34,53,279
		19,44,22,630	9,08,14,871
Insurance Charges		1,62,40,089	1,52,85,942
Rates and Taxes		82,39,135	1,24,98,301
Rent/Lease Rent		2,55,43,306	2,75,32,170
Legal and Professional Charges		6,76,60,175	5,76,22,302
Advertisement, Publicity and Sales Promotion		33,61,89,784	13,91,32,242
Commission on Sales		1,04,60,471	90,76,288
Discount		15,858	NIL
Travelling and Conveyance		4,37,68,820	4,49,51,985
Directors' Meeting Fees		3,80,000	5,10,000
Provision for diminution in value of long term investment		NIL	1,68,34,824
Fixed Assets Discarded/ Written off (Net)		95,31,877	NIL
Loss on Sale of Fixed Assets (Net)		18,76,896	10,60,360
Unrealised Foreign Exchange Differences (Net)		NIL	38,50,26,005
Miscellaneous Expenses		19,03,31,194	23,58,87,457
DECREASE/(INCREASE) IN STOCKS:			
Opening Stock :			
Work-in-Process	18,39,20,821		16,17,12,043
Finished Goods	37,01,40,507		34,30,24,191
	55,40,61,328		50,47,36,234
Less :			
Closing Stock :			
Work-in-Process	19,57,31,044		18,39,20,821
Finished Goods	30,74,74,864		37,01,40,507
	50,32,05,908		55,40,61,328
		5,08,55,420	(4,93,25,094)
		1017,19,09,826	1055,34,60,746
SCHEDULE 'Q'			
INTEREST AND FINANCE CHARGES:			
Interest			
On Debenture and Fixed Loans	15,03,04,184		31,54,45,244
To Others	1,68,95,934		35,63,523
		16,72,00,118	31,90,08,767
Finance Charges		1,93,89,828	5,60,35,807
		18,65,89,946	37,50,44,574

SCHEDULE 'R'

ACCOUNTING POLICIES AND NOTES TO THE ACCOUNTS

A. SIGNIFICANT ACCOUNTING POLICIES

Basis of Accounting

The accounts have been prepared in accordance with historical cost convention and on accrual basis.

Use of Estimates

The presentation of financial statements in conformity with the generally accepted accounting principles requires estimates and assumptions to be made that affect the reported amounts of assets and liabilities on the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Difference between the actual and estimates are recognised in the period in which the results are known/materialised.

Fixed Assets

- Fixed Assets are stated at cost less depreciation. Cost comprises of purchase price and attributable expenses (including financing charges) and is net of permissible credits/set offs.
- Expenditure (including financing charges) incurred for fixed assets, the construction / installation/acquisition of which is not completed, is included under the Capital Work-in-Progress and the same is related/classified to the respective fixed assets on the completion.

Depreciation/Amortisation

- Depreciation on fixed assets (other than leasehold land) has been provided in accordance with Schedule XIV to the Companies Act, 1956, on Straight Line Method. In respect of fixed assets whose actual cost does not exceed Five thousand rupees, depreciation is provided at the rate of 100 percent, irrespective of the date of addition during the year.
- Premium on Leasehold Land is amortised over the duration of the Lease.

Investments

Investments are valued at cost plus attributable expenses of acquisition and are classified as Long Term Investments and Current Investments (investments intended to be held for not more than one year). Long Term Investments are stated at cost. However, where there is a diminution, other than temporary, in the value of a long-term investment, necessary provision is made to recognise the

decline. Current Investments are stated at lower of cost and fair value, computed on individual investment basis.

Valuation of Inventories

Inventories are valued at lower of the cost and net realisable value. Cost of inventories is computed on moving weighted average cost basis. Cost comprises of all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition.

Sales

Sales are inclusive of Excise Duty but excluding Value Added Tax/Central Sales Tax and are net of Trade Discounts, Rebates and Incentives.

Export Benefits

Consumption of Raw Materials is arrived at after adjusting the difference between the cost of indigenous/duty paid imported raw materials and international cost of raw materials entitled to be imported/imported under Duty Exemption Scheme of the Government of India against direct/indirect exports made/to be made by the Company during the year. Export Incentives under Duty Entitlement Pass Book Scheme and Focus Market Scheme under EXIM policy/ Foreign Trade Policy are accounted for in the year of export. Profit/Loss on sale of DEPB/Import licenses is accounted in the year of such sale.

Foreign Currency Transactions

Transactions in foreign currencies are accounted at the exchange rates prevailing on the day of the transaction. Gains and losses arising out of subsequent fluctuations are accounted on actual payment/realisation. Monetary items related to foreign currency transactions, remaining unsettled at the end of the year are adjusted at the rates prevailing at the year end or are stated at the amounts likely to be realised or required to be disbursed, except for those considered doubtful of recovery. The exchange fluctuation arising on account of such adjustments are dealt in Profit and Loss Account. Non-monetary items are reported by using the exchange rate at the date of transaction.

The Company enters into Forward Contracts to hedge its Foreign Currency Exposures. Premium/ Discount in respect of outstanding forward contracts at the year end are amortized as expense or income over the life of the contract.

Employee Benefits:

a) Short-term employee benefits:

Short-term employee benefits consisting of wages, salaries, social security contributions, ex-gratia and accrued leave are recognized in the year to which it relates.

b) Post employment benefits:

i) Benefits in the nature of contribution to provident fund, superannuation scheme, employee state insurance scheme etc. provided by the company to the employees have been identified as defined contribution plans in terms of provisions of AS-15 on "Employee Benefits" where the obligation of the company is limited to a pre-agreed amount as fixed by the administrator of those plans. Such contributions are recognised in the year to which they relate.

ii) Benefit in the nature of gratuity paid by company to the employees has been identified as defined benefit plan in terms of provisions of AS-15 on "Employee Benefits". The gratuity scheme in respect of the employees of the company is administered through Life Insurance Corporation of India (LIC). Annual contributions as determined by LIC are charged to profit and loss account. The liability of the company is also determined through actuarial valuation technique at balance sheet date and the additional liability, if any, arising out of the difference between the actuarial valuation and the plan assets as at the balance sheet date is provided for at the year end.

Research and Development

Revenue expenditure on Research and Development is charged to Profit and Loss Account as incurred. Capital expenditure on assets acquired for Research and Development is added to Fixed Assets.

Government Grants

Special Capital Incentive received from the Government for setting up/expansion of an industrial undertaking in underdeveloped area of the State, is credited to Capital Reserve (Capital Incentive Reserve). Government grants/subsidy related to specific fixed assets is reduced from the cost of the asset concerned.

Borrowing Cost

Borrowing costs directly attributable to the acquisition/construction/installation of fixed assets are capitalised as part of the cost of the assets up to the date the assets are put to use. Other borrowing costs are charged to Profit and Loss Account.

Taxation

a) Provision for current tax is made and retained in the accounts on the basis of estimated tax liability as per the applicable provisions of the Income Tax Act, 1961.

b) Deferred tax assets and liabilities are recognised for timing differences between the accounting and taxable income, based on tax rates that have been enacted or substantively enacted by the Balance Sheet date. Deferred tax assets, subject to the consideration of prudence, are recognised only if there is reasonable certainty that sufficient future taxable income will be available, against which they can be realised. At each Balance Sheet date, the carrying amount of deferred tax assets is reviewed to reassure its realisation.

Leases

Assets acquired on leases where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Lease rentals are charged to the Profit and Loss Account on accrual basis. Assets leased out under operating lease are capitalised, depreciation thereon is provided in the books and rental income is recognised on accrual basis over the lease term. Assets leased out are stated at original cost and the depreciation thereon is provided in the books.

Impairment

The carrying amount of an asset is reviewed at each balance sheet date for any indication of impairment based on internal/external factors. An impairment loss is recognised wherever the carrying amount of an asset exceeds its recoverable amount. The recoverable amount is the greater of the asset's net selling price and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value at the weighted average cost of capital.

Provisions, Contingent Liabilities and Contingent Assets

A provision is made based on a reliable estimate when it is probable that an outflow of resources embodying economic benefit will be required to settle an obligation. Contingent Liabilities, if material, are disclosed by way of notes to accounts. Contingent Assets are not recognised or disclosed in the financial statements.

B. NOTES TO ACCOUNTS :

1 Estimated amount of contracts remaining to be executed on capital account and not provided for (Net of advances)

Current Year
Rupees

Previous Year
Rupees

58,31,36,817

62,78,78,146

2 Contingent Liabilities in respect of:

- Guarantees given by the Company's bankers on behalf of the Company against the Company's indemnity
- Premium payable on redemption of Foreign Currency Convertible Bonds 'Series B'
- Disputed claims for excise, sales tax and service tax
- Disputed income tax demands

11,23,04,431

13,35,42,964

6,63,40,768

5,72,07,934

10,47,06,650

20,69,48,209

8,10,81,240

15,23,86,857

(The outflow in respect of contingent liabilities is totally uncertain as the same depends on the final outcome of the disputes, wherever applicable)

3 Nature of security in respect of "Secured Loans"

I Working Capital Loans from Banks:

Cash Credits, Packing Credit, Bills Discounting and Buyers Credit:

Secured by first charge by way of hypothecation of stock of raw materials, stores and spares, stock in process, finished goods, material in transit, book debts and other movables on pari-passu basis and further secured by second charge on fixed assets of the Company, both present and future, except certain fixed assets on which exclusive charge created in favour of G.E. Capital Services India.

II Term Loans from Bank:

Secured by hypothecation by way of pari-passu charge on the all present and future movable assets of the Company situated at Chopanki, Waluj and Bhiwadi units.

III Term Loans from Others

- DEG - Deutsche Investitions-und Entwicklungsgesellschaft mbH

Secured by pari-passu first charge on entire fixed assets of the Company, situated at Bhiwadi and Chopanki units and Wind farm at Jaisalmer, all in the state of Rajasthan.

- G.E. Capital Services India (In the previous year)

Secured by exclusive first charge by way of hypothecation of specific machineries purchased out of the proceeds of the said loan.

4 Miscellaneous Income :

Miscellaneous Income includes **Rs.47,79,584** (Previous Year Rs.21,40,506) in respect of refund of Regulatory Liabilities Charges paid in earlier years to Maharashtra State Electricity Board.

5 Extra Ordinary Item in the previous year represents the difference between the actual payment and provision of Rs. 98,00,000 made in earlier year, included along with other expenses incurred , on account of stamp duty payable on transfer of assets of erstwhile Paper and Textiles Processing Divisions of the Company to two separate wholly owned subsidiary Companies.

6 Managerial Remuneration

- To Managing Director, Executive Directors and Whole Time Directors

Salaries

1,23,48,000

55,15,161

Commission

3,24,00,000

78,58,064

Perquisites and Allowances

92,91,517

54,89,240

Contribution to Provident and Other Funds

35,33,940

13,39,204

Employee Benefits

3,76,325

14,53,151

5,79,49,782

2,16,54,820

- To Other Directors

Meeting Fees

3,80,000

5,10,000

5,83,29,782

2,21,64,820

7 Computation of net profit in accordance with Section 198, 309 and 349 of the Companies Act, 1956 and the Commission payable to the Managing Director and Executive Directors.

- Computation of Net Profit

Profit after tax as per Profit and Loss Account

206,52,74,394

69,94,51,365

Add:

Provision for Taxation

104,80,46,931

37,93,79,588

Capital Loss on Fixed Assets Discarded/

Written off (Net)

74,43,138

NIL

Managerial Remuneration
Provision for Diminution in Value of
Long Term Investment
Adjustment relating to earlier years (Net)

Rupees
5,83,29,782

NIL
NIL

Current Year
Rupees

111,38,19,851
317,90,94,245

Previous Year
Rupees

2,21,64,820
1,68,34,824
60,14,612

42,43,93,844
112,38,45,209

Less :

Capital Profit on Sale of Fixed Assets
Profit on Sale of Investments
Adjustment relating to earlier years (Net)

NIL
4,13,388
16,48,199

20,61,587

317,70,32,658

4,38,897
NIL
NIL

4,38,897

112,34,06,312

Net Profit

- b) Commission payable to the Managing Director and Executive Directors as determined by the Board of Directors.

3,24,00,000

78,58,064

8 Remuneration to Statutory Auditors

- a) Audit Fees
b) In other capacity for :
i) Tax Audit
ii) Taxation Matters
iii) Company Law Matters
iv) Other Services - Certification etc.
c) Reimbursement of :
Service Tax
Expenses

14,00,000

12,00,000

3,00,000

3,00,000

3,75,000

3,20,000

3,70,000

2,95,000

5,00,000

4,20,000

2,86,632

2,85,626

37,830

37,150

9 a) Information in respect of Goods Manufactured:

(As Certified by the Management)

Product	Unit of Measurement	Licensed Capacity	Installed Capacity	Opening Stock		Actual Production	Closing Stock	
		Quantity	Quantity	Quantity	Value in Rupees	Quantity	Quantity	Value in Rupees
Tyres	Numbers	49.45 lacs (49.45 lacs)	39.40 lacs (40.58 lacs)	1,04,229 (98,728)	34,65,00,894 (31,86,69,546)	18,83,386 (18,95,202)	67,450 (104,229)	28,29,54,594 (34,65,00,894)
Tyre Flaps	Numbers	N.A (N.A)	3.79 lacs (3.79 lacs)	16,795 (7,169)	12,28,723 (4,05,628)	80,727 (57,503)	8,137 (16,795)	14,01,273 (12,28,723)
Wind Power Generation (Captively consumed)	KWH/Units	N.A (N.A)	5 MW (5 MW)	NIL (NIL)	NIL (NIL)	70,29,984 (76,24,327)	NIL (NIL)	NIL (NIL)
					34,77,29,617 (31,90,75,174)			28,43,55,867 (34,77,29,617)

- i) The difference in quantities is on account of captive consumption, free samples and wastage/damages.
ii) Licensed capacities include additional capacities for which Memoranda have been filed with appropriate Government Authorities, under the scheme of delicensing notified by the Government of India.
ii) Installed capacity for tyres is based on the product mix and on the average weight of tyres manufactured.

b) Information in respect of Goods Traded in :

(As certified by the Management)

Product	Unit of Measurement	Opening Stock		Purchases		Closing Stock	
		Quantity	Value in Rupees	Quantity	Value in Rupees	Quantity	Value in Rupees
Tyres	Number	522 (349)	20,45,515 (16,02,642)	5,844 (7,533)	2,62,89,443 (4,53,48,330)	376 (522)	7,74,519 (20,45,515)
Tubes	Number	28,811 (34,189)	1,95,19,308 (2,13,87,474)	1,80,833 (99,591)	8,98,54,153 (6,09,31,149)	42,723 (28,811)	1,99,35,242 (1,95,19,308)
Tyre Flaps	Number	5,891 (8,065)	8,46,067 (9,58,901)	82,810 (56,311)	1,02,44,750 (57,01,600)	17,721 (5,891)	24,09,236 (8,46,067)
			2,24,10,890 (2,39,49,017)		12,63,88,346 (11,19,81,079)		2,31,18,997 (2,24,10,890)

c) Information in respect of Sales:

	Unit of Measurement	Quantity	Value in Rupees
Tyres	Numbers	19,25,473 (18,97,061)	1347,50,59,262 (1218,28,99,942)
Tubes	Numbers	1,63,855 (1,04,911)	12,06,70,032 (7,91,39,978)
Tyre Flaps	Numbers	1,60,227 (1,06,362)	2,57,33,214 (1,68,46,788)
			1362,14,62,508 (1227,88,86,708)

10 Consumption of Raw Materials:
(As certified by the Management)

	Quantity in Metric Tonnes	Value in Rupees
a) Natural Rubber	26,488 (27,477)	278,72,96,478 (299,64,86,657)
b) Synthetic Rubber	13,705 (11,953)	96,72,75,392 (124,50,24,134)
c) Tyre Cord/Fabrics	5,577 (5,559)	94,21,42,721 (97,30,51,351)
d) Carbon Black	22,362 (21,213)	101,29,57,482 (92,79,64,591)
e) Colours, Chemicals and Other Materials	- -	96,64,35,428 (92,99,78,369)
		667,61,07,501 (707,25,05,102)

11 Value of Raw Materials and Stores and Spare Parts Consumed :
(As certified by the Management)

	Raw Materials		Stores and Spare Parts	
	Rupees	%	Rupees	%
a) Imported	463,33,67,484 (468,92,65,461)	69.40 (66.30)	5,78,93,700 (9,61,88,045)	10.78 (22.90)
b) Indigenous	204,27,40,017 (238,32,39,641)	30.60 (33.70)	47,91,09,283 (32,39,14,330)	89.22 (77.10)
	667,61,07,501 (707,25,05,102)	100.00 (100.00)	53,70,02,983 (42,01,02,375)	100.00 (100.00)

12 The following sales have been deducted from the consumption and profit/loss, if any, remains adjusted therein.

- a) Raw Materials
b) Stores & Spares

13 Value of Imports by the Company on C.I.F. basis :

- a) Raw Materials
b) Stores and Spare Parts
c) Capital Goods
d) Traded Goods

14 Expenditure in Foreign Currency :*

- a) Interest
b) Professional/Consultation Fees
c) Travelling, Subscription, Commission etc.

* Including amount capitalised **Rs.26,45,638**
(Previous Year Rs. 1,39,96,905)

15 Earnings in Foreign Exchange: (excluding exports to Nepal)

- a) Export of Goods on FOB Basis
b) Recovery towards Freight and Insurance on exports
c) Recovery of Capital Expenditure
d) Recovery towards Sale of Raw Materials

- 16 a) Aggregate Value of Investments**
Quoted Investments (Net of Provision)
Quoted Investments (Market Value not available)

Unquoted Investments

Market Value of Quoted Investments

Current Year Rupees	Previous Year Rupees
4,47,00,926 1,45,920	1,90,39,292 NIL
502,97,38,094 7,88,77,963 25,84,44,613 39,72,224 537,10,32,894	405,82,31,309 10,82,53,256 59,47,07,918 NIL 476,11,92,483
15,17,88,679 3,08,15,673 45,17,22,340 63,43,26,692	20,16,33,465 2,18,16,864 27,91,60,619 50,26,10,948
1179,29,32,675 35,56,54,044 67,91,444 44,36,889 1215,98,15,052	1087,40,58,460 52,35,24,506 24,77,815 NIL 1140,00,60,781
19,15,235 30,00,00,000 30,19,15,235 50,53,49,610 80,72,64,845 55,21,262	19,15,235 NIL 19,15,235 32,03,43,000 32,22,58,235 19,15,235

b) Details of Current Investment in units of Mutual funds purchased and sold during the year :

Name of Mutual Fund	Balance as on 01.04.09		Purchased During the Year		Sold/Redeemed During the Year		Balance as on 31.03.10	
	No. of Units	Cost Rs.	No. of Units	Cost Rs.	No. of Units	Cost Rs.	No. of Units	Cost Rs.
ICICI PRUDENTIAL INST. LIQUID PLAN - SUPER INST. DAILY DIVIDEND	NIL	NIL	82,23,042	10,02,55,520	82,23,042	10,02,55,520	NIL	NIL
ICICI PRUDENTIAL FLEXIBLE INCOME PLAN PREMIUM - DAILY DIVIDEND	NIL	NIL	77,86,205	10,03,31,136	77,86,205	10,03,31,136	NIL	NIL
BIRLA SUN LIFE DYNAMIC BOND FUND - RETAIL-GROWTH	NIL	NIL	13,66,843	2,00,01,974	13,66,843	2,00,01,974	NIL	NIL
BIRLA SUN LIFE CASH PLUS - INST. DAILY DIVIDEND REINVESTMENT	NIL	NIL	18,51,640	2,00,01,974	18,51,640	2,00,01,974	NIL	NIL
BIRLA SUN LIFE CASH PLUS - INST. PREM. - DAILY DIVIDEND REINVESTMENT	NIL	NIL	49,90,775	5,00,05,070	49,90,775	5,00,05,070	NIL	NIL
BIRLA SUN LIFE SAVING FUND - INST. DAILY DIVIDEND REINVESTMENT	NIL	NIL	80,17,864	8,02,33,165	80,17,864	8,02,33,165	NIL	NIL
DWS INSTA CASH PLUS FUND INST. PLAN DAILY DIVIDEND - REINVEST	NIL	NIL	1,39,30,236	14,00,21,161	1,39,30,236	14,00,21,161	NIL	NIL
DWS CASH OPPORTUNITIES FUND - INST. DAILY DIVIDEND - REINVEST	NIL	NIL	10,03,147	1,00,55,845	10,03,147	1,00,55,845	NIL	NIL
DWS ULTRA SHORT TERM FUND - INST. DAILY DIVIDEND - REINVEST	NIL	NIL	1,41,02,649	14,12,78,929	1,41,02,649	14,12,78,929	NIL	NIL
TATA LIQUID SUPER HIGH INVESTMENT FUND-DAILY DIVIDEND	NIL	NIL	17,946	2,00,01,599	17,946	2,00,01,599	NIL	NIL
TATA TREASURY MANAGER SHIP DAILY DIVIDEND	NIL	NIL	19,817	2,00,21,890	19,817	2,00,21,890	NIL	NIL
RELIANCE MONTHLY INTERVAL FUND - SERIES I - INST. DIVIDEND PLAN	NIL	NIL	49,98,500	5,00,00,000	NIL	NIL	49,98,500	5,00,00,000
LIC MF LIQUID FUND - DIVIDEND PLAN	NIL	NIL	5,67,43,459	62,30,48,849	5,67,43,459	62,30,48,849	NIL	NIL
LIC INCOME PLUS FUND - DAILY DIVIDEND PLAN	NIL	NIL	2,50,75,628	25,07,56,276	2,50,75,628	25,07,56,276	NIL	NIL
LIC SAVING PLUS FUND - DAILY DIVIDEND PLAN	NIL	NIL	3,63,16,645	36,31,66,449	3,63,16,645	36,31,66,449	NIL	NIL
LIC MF LIQUID FUND - GROWTH PLAN	NIL	NIL	2,63,35,807	44,25,00,000	2,63,35,807	44,25,00,000	NIL	NIL
LIC MF SAVING PLUS FUND - GROWTH PLAN	NIL	NIL	13,96,445	2,00,02,538	13,96,445	2,00,02,538	NIL	NIL
LIC FLOATING RATE FUND - SHORT TERM PLAN - DAILY DIVIDEND PLAN	NIL	NIL	1,35,01,361	13,50,13,610	NIL	NIL	1,35,01,361	13,50,13,610
GRAND TOTAL	NIL	NIL	22,56,78,011	258,66,95,985	20,71,78,150	240,16,82,376	1,84,99,861	18,50,13,610

Current Investment in Units of Mutual Fund Purchased and Sold / Redeemed during the Previous Year : 95,21,309 Units of LIC MF Liquid Fund - Daily Dividend of the Cost of Rs. 10,25,00,000.

17 Deferred Tax Liability/Asset at the year end comprise of timing differences on account of :

- a) Deferred Tax Liability on account of :
Depreciation
- b) Deferred Tax Assets on account of :
Expenses allowable for tax purpose when paid
Net Deferred Tax Liability

Current Year Rupees	Previous Year Rupees
56,17,24,637	53,69,77,272
1,36,06,624	1,31,06,190
54,81,18,013	52,38,71,082

18 SEGMENT INFORMATION

- a) Primary Business Segments:-

The Company has only one business segment, namely Tyres(including Tubes and Flaps) therefore primary business segment reporting as required by AS-17 is not applicable.

b) Secondary Segment - Geographical by location of customers		Rupees	Rupees
Segment Revenue			
Sales and Related Income :			
In India			183,05,97,744 (121,55,60,371)
Outside India	- Europe	699,44,94,872 (684,61,73,515)	
	- North America	183,14,60,235 (189,98,18,992)	
	- Others	332,26,31,611 (265,15,90,459)	
			1214,85,86,718 (1139,75,82,966)
Total			1397,91,84,462 (1261,31,43,337)
Segment Assets			
In India			1257,62,64,646 (1023,65,86,682)
Outside India	- Europe	151,70,75,899 (133,74,92,081)	
	- Others	81,67,96,582 (82,71,54,528)	
Total			233,38,72,481 (216,46,46,609)
Total Cost incurred during the year to acquire Segment Fixed Assets			
In India			133,13,54,724 (114,73,87,924)
Outside India			NIL (NIL)
Total			133,13,54,724 (114,73,87,924)
Segment Assets excludes -Investments			80,72,64,845 (32,22,58,235)

19 Earning Per Share (EPS)
(In accordance with Accounting Standard - 20)

- i) a) Profit Computation for Basic Earning Per Share
Profit for the year after Tax
Short Provision for (Expenses)/Income (Net)
Excess Provision for Taxation - Current Tax of earlier years
Profit before Extra ordinary Item
Less: Extra ordinary Item
Profit after Extra ordinary Item
- b) Adjustment for the purpose of Diluted EPS
Interest on 'Series B' Foreign Currency Convertible Bonds
Less : Tax on above
Adjustment for the purpose of Diluted EPS
- c) Profit for Diluted earning per share (Before Extra ordinary Item)
d) Profit for Diluted earning per share (After Extra ordinary Item)
- ii) Weighted Average number of equity shares for Earning Per Share Computation
- a) For Basic Earning Per Share
b) For Diluted Earning Per Share
Number of Shares for Basic EPS
Add : Weighted Average number of Shares deemed to have been issued on future conversion of 'Series B' Foreign Currency Convertible Bonds
Number of Shares for Diluted Earning Per Share

Current Year Rupees	Previous Year Rupees
206,52,74,394	69,94,51,365
(16,48,199)	60,14,612
2,36,48,386	NIL
208,72,74,581	70,54,65,977
NIL	25,15,075
208,72,74,581	70,29,50,902
4,42,42,902	5,32,83,753
1,50,38,162	1,81,11,147
2,92,04,740	3,51,72,606
211,64,79,321	74,06,38,583
211,64,79,321	73,81,23,508
1,93,31,719	1,93,31,719
1,93,31,719	1,93,31,719
7,30,560	7,30,560
2,00,62,279	2,00,62,279

	Current Year Rupees	Previous Year Rupees
iii) Nominal Value of Equity Shares (in Rupees)	10	10
Earning Per Share (Weighted Average) (Before Extra ordinary item)		
Basic	107.97	36.49
Diluted	105.50	36.92
iv) Earning Per Share (Weighted Average) (After Extra ordinary item)		
Basic	107.97	36.36
Diluted	105.50	36.79

20 I) Related Party Disclosures *

(Where transactions have taken place)

a) Key Management Personnel (KMP)

Mr. Arvind M. Poddar - Managing Director, Mr. Rajiv A. Poddar - Executive Director (w.e.f. 22/01/2009), Mr. Anurag P. Poddar - Executive Director (w.e.f. 22/01/2009), Mr. B.K. Bansal - Director Finance (w.e.f. 26/07/2008), Mr. Trilok Chand Goel - Sr. President cum Director (upto 25/07/2008).

b) Relatives of Key Management Personnel :

Mr. Rajiv A. Poddar (upto 21/01/2009).

c) Other Related Parties -(Enterprises-KMP having significant influence/owned by major shareholders) Siyaram Silk Mills Ltd., Govind Rubber Ltd., SPG Infrastructure Ltd., GRL International Ltd., BKT Moulds Limited.

Related Party Transactions

				Rupees
Transactions	KMP	Relatives of (KMP)	Other Related Parties	Total
Purchase of Goods/Materials/Services	NIL (NIL)	NIL (NIL)	34,92,571 (56,67,569)	34,92,571 (56,67,569)
Sales of Goods/Materials	NIL (NIL)	NIL (NIL)	2,814 (1,71,53,574)	2,814 (1,71,53,574)
Expenses reimbursed	NIL (NIL)	NIL (NIL)	22,800 (NIL)	22,800 (NIL)
Rent received	NIL (NIL)	NIL (NIL)	26,47,200 (13,43,464)	26,47,200 (13,43,464)
Recovery of expenses	52,060 (NIL)	NIL (NIL)	4,60,476 (12,15,494)	5,12,536 (12,15,494)
Loan given	NIL (NIL)	NIL (NIL)	NIL (10,00,00,000)	NIL (10,00,00,000)
Loan refund received	NIL (NIL)	NIL (NIL)	NIL (10,00,00,000)	NIL (10,00,00,000)
Advance Against Acquisition of Fixed Assets	NIL (NIL)	NIL (NIL)	5,05,00,000 (1,80,00,000)	5,05,00,000 (1,80,00,000)
Loan received	NIL (NIL)	NIL (NIL)	NIL (2,50,00,000)	NIL (2,50,00,000)
Loan repaid	NIL (NIL)	NIL (NIL)	NIL (2,50,00,000)	NIL (2,50,00,000)
Interest paid on Loan received	NIL (NIL)	NIL (NIL)	NIL (1,97,260)	NIL (1,97,260)
Interest received on Loan given	NIL (NIL)	NIL (NIL)	NIL (10,16,438)	NIL (10,16,438)
Adjustments relating to earlier years	NIL (NIL)	NIL (NIL)	57,287 NIL	57,287 NIL
Irrecoverable amount Written Off	NIL (NIL)	NIL (NIL)	19,088 (10,08,914)	19,088 (10,08,914)
Provision for Diminution in value of Investment	NIL (NIL)	NIL (NIL)	NIL (1,68,34,824)	NIL (1,68,34,824)
Remuneration	5,79,49,782 (2,16,54,820)	NIL (3,75,803)	NIL (NIL)	5,79,49,782 (2,20,30,623)
Receivables	NIL (NIL)	NIL (NIL)	7,27,01,912 (2,16,88,226)	7,27,01,912 (2,16,88,226)
Payables	3,24,24,866 (79,89,363)	NIL (NIL)	1,81,653 (2,23,901)	3,26,06,519 (82,13,264)

d) Transactions with subsidiary

Transactions	Balkrishna Paper Mills Ltd.	Balkrishna Synthetics Ltd.	BKT (EUROPE) LTD.	BKT EUROPE S.R.L.	BKT (USA) INC
Marketing Service Expenses	NIL (NIL)	NIL (NIL)	68,44,477 (67,87,928)	8,34,94,355 (4,88,51,137)	1,78,01,376 (NIL)
Purchase of Fixed Assets	NIL (48,207)	NIL (NIL)	NIL (NIL)	NIL (NIL)	NIL (NIL)
Loan received	6,75,00,000 (2,95,00,000)	NIL (NIL)	NIL (NIL)	NIL (NIL)	NIL (NIL)
Loan repaid	8,50,00,000 (1,20,00,000)	NIL (NIL)	NIL (NIL)	NIL (NIL)	NIL (NIL)
Loan given	NIL (1,50,00,000)	NIL (97,90,586)	NIL (NIL)	NIL (NIL)	NIL (NIL)
Loan refund received	NIL (1,50,00,000)	45,00,000 (12,07,903)	NIL (NIL)	NIL (NIL)	NIL (NIL)
Interest paid on Loan received	13,59,418 (3,68,860)	NIL (NIL)	NIL (NIL)	NIL (NIL)	NIL (NIL)
Interest received on Loan given	NIL (3,06,418)	NIL (NIL)	NIL (NIL)	NIL (NIL)	NIL (NIL)
Dividend Received from Subsidiary	1,95,000 (1,95,000)	65,000 (65,000)	NIL (NIL)	NIL (NIL)	NIL (NIL)
Sale of goods/Material Services	1,83,717 (2,12,428)	NIL (NIL)	NIL (NIL)	NIL (NIL)	NIL (NIL)
Rent Received	14,59,932 (14,00,248)	NIL (NIL)	NIL (NIL)	NIL (NIL)	NIL (NIL)
Sale of DEPB Licences	16,16,002 (NIL)	NIL (NIL)	NIL (NIL)	NIL (NIL)	NIL (NIL)
Recovery of expenses	NIL (2,41,864)	NIL (NIL)	NIL (NIL)	NIL (NIL)	NIL (NIL)
Receivables	NIL (NIL)	1,23,67,690 (1,69,32,690)	NIL (NIL)	NIL (NIL)	NIL (NIL)
Payables	NIL (1,73,05,000)	NIL (NIL)	3,73,892 (9,11,011)	33,90,083 (20,33,502)	13,57,259 (NIL)

* Parties identified by the Management and relied upon by the auditors.

II) Disclosures required by clause 32 of the listing agreement

Name of the Company	Outstanding at the year end	Maximum Amount outstanding during the year
	Rupees	Rupees
a) Amount of Loans/Advances in nature of loans outstanding from Subsidiary Balkrishna Paper Mills Limited (No repayment schedule) Balkrishna Synthetics Limited (No repayment schedule and interest free)	NIL (NIL) 1,23,67,690 (1,68,67,690)	NIL (1,00,19,511) 1,68,67,690 (1,76,79,220)
b) Amount of Loans/Advances in nature of loans outstanding from Companies in which Directors are interested Siyaram Silk Mills Limited	NIL (NIL)	NIL (10,00,00,000)

21 Leases - Operating leases :

- i) The company has taken commercial premises under cancellable and non-cancellable operating leases.
- ii) Future minimum Lease Payments under non - cancellable operating leases :

	Current Year Rupees	Previous Year Rupees
not later than one year	40,36,800	48,44,160
later than one year and not later than five years	NIL	40,36,800
later than five years	NIL	NIL
iii) The rental expenses recognised in Profit and Loss account for operating leases :		
a) Minimum Rent	2,55,18,810	2,75,25,688
b) Contingent Rent	NIL	NIL
iv) The Company has given certain portion of its office premises on lease and the agreement for the same is for a period of six months with no further renewal. The said agreement can be terminated by giving one month prior written notice by the lessee or the Company.		
Gross carrying amount of the office premises leased, included in Schedule 'E' Fixed Assets	NIL	7,64,751
Accumulated Depreciation	NIL	2,47,028
Depreciation recognised in the Profit and Loss Account	NIL	12,466
22 a) Total of Research and Development Cost/Expenditure (Revenue)	32,44,382	71,70,561
b) Contribution to Provident and Other Funds (Schedule 'P') includes contribution for the year to Gratuity Funds covered under the master policies of Life Insurance Corporation of India.	50,28,157	44,00,920
c) Amount of Borrowing Cost capitalised	18,87,789	87,12,382
23 The net amount of Gain/(Loss) of exchange differences included in the Profit and Loss Account {Including unrealised foreign exchange differences (Net)}	24,57,29,744	(128,04,33,906)

24 Amount remitted during the year in Foreign Currencies on account of Dividends:

The Company has not made any remittance in foreign currencies on account of dividend and does not have information as to the extent to which remittance in foreign currencies on account of dividend has been made by or on behalf of the non-resident shareholders. The particulars of dividends paid to non-resident shareholders are as under :

	Current year	Previous year	
	2008-09 (Final)	2007-08 (1st Interim)	2007-08 (Final)
a) Years to which dividends relate			
b) Number of non-resident Shareholders	94	79	86
c) Number of Shares held by them	36,24,647	41,25,195	43,02,430
d) Amount in Rupees remitted to Banks/Addresses in India of the non-resident Shareholders	2,17,47,882	1,85,63,378	2,58,14,580

- 25 a) As at 31st March, 2010, there are no Micro, Small and Medium Enterprises, as defined in the Micro, Small, Medium Enterprises Development Act, 2006, to whom the Company owes dues on account of principal amount together with interest and accordingly no additional disclosures have been made.
- b) The above information regarding Micro, Small and Medium Enterprises has been determined to the extent such parties have been identified on the basis of information available with the Company. This has been relied upon by the auditors.

26 Foreign Currency Convertible Bonds (FCCB)

- a) The Company raised FCCB during the year 2005-06 aggregating to USD 40 million which included:
 - i) Zero coupon 'Series A' bonds aggregating to USD 18 million, convertible at a price of Rs. 1,080 per share by applying a pre-determined exchange rate of Rs. 45.66 per USD and,
 - ii) 4.5% FCCB 'Series B' aggregating to USD 22 million with redemption premium of 1.5% p.a. payable on cumulative basis at the time of redemption i.e. on 31st December 2010, convertible at the option of bondholders at a price of Rs. 1,375 per share by applying a pre-determined exchange rate of Rs. 45.66 per USD. If all these bonds are converted into shares, then the Share Capital of the Company will increase by 7,30,560 Equity Shares of Rs 10 each.
- b) The 'Series A' bonds, during the year 2005-06 were subsequently converted into equity shares upon exercising the conversion right by the Bondholders.
The Company allotted them 7,60,999 shares of Rs.10 each at a pre-determined premium of Rs. 1,070 each.

27 Derivative Instruments

a) Hedging Contracts :

- i) The Company uses forward exchange contracts to hedge its exposure to foreign exchanges and the Company does not use such contracts for trading or speculation purpose.

- ii) Derivative Instruments outstanding
Forward Exchange Contracts :

Particulars	Current Year	Previous Year
Total No. of contracts outstanding for Amount Receivable on account of Export of Goods.	136	184
Foreign Currency Value covered		
US Dollars	1,29,21,841	1,45,22,042
Euro	1,05,87,429	1,24,73,350

- b) Unhedged foreign currency exposure is as follows:

Particulars	Current Year	Previous Year
Amounts Payable :		
Loans US Dollars:		
Foreign Currency Convertible Bonds (FCCB)	2,20,00,000	2,20,00,000
Other Loans :		
US Dollars	1,50,89,043	3,01,73,204
Euro	6,75,000	1,79,22,213
Interest US Dollars	4,13,524	6,94,810
Interest Euro	1,695	NIL
Payables for goods and services:		
US Dollars	15,16,790	15,31,780
Euro	2,96,472	68,474
GBP	12,352	18,906
Amounts Receivable:		
Advances :		
US Dollar	39,43,823	13,33,040
Euro	2,94,918	522
GBP	2,07,000	2,03,688
Balance with Scheduled Banks		
On Current Accounts:		
US Dollar	1,70,799	5,54,985
Euro	1,12,557	89,673

28 Disclosures in accordance with revised accounting standard AS-15 on "Employee Benefits".

Defined benefit plans - As per actuarial valuations		Current year Rupees	Previous year Rupees
Sr. No.	Descriptions	Gratuity	Gratuity
i	Components of employer expenses		
	Current Service Cost	39,93,322	33,47,739
	Interest Cost	17,41,252	13,73,374
	Expected Return on Plan Assets	(7,91,589)	(5,46,526)
	Actuarial-Loss (Net)	11,72,912	17,61,532
	Total Expenses recognised in the statement of Profit & Loss Account in Schedule 'P'	61,15,897	59,36,119
ii	Actual Contribution and Benefit Payments for the year end		
	Actual Benefit Payments	8,65,716	1,21,46,735
	Actual Contributions	50,28,157	44,00,920
iii	Net Liability recognised in balance sheet at the year end		
	Present Value of Defined Benefit Obligation	2,80,06,549	2,17,65,652
	Fair value of plan assets	1,50,48,018	98,94,861
	Net Liability recognised in balance sheet	1,29,58,531	1,18,70,791
iv	Reconciliation of Opening and Closing Balances of Defined Benefit Obligations (DBO)		
	Present Value of DBO at the beginning of the year	2,17,65,652	1,71,67,172
	Current Service cost	39,93,322	33,47,739
	Interest cost	17,41,252	13,73,374
	Actuarial Loss on DBO	13,72,039	1,20,24,102
	Benefits paid	(8,65,716)	(1,21,46,735)
	Present Value of DBO at the end of the year	2,80,06,549	2,17,65,652

		Current year Rupees	Previous year Rupees
Sr. No.	Descriptions	Gratuity	Gratuity
v	Reconciliation of Opening and Closing Balances of Fair Value of Plan Assets		
	Plan assets at the beginning of the year	98,94,861	68,31,580
	Expected return on plan assets	7,91,589	5,46,526
	Actual Company contributions	50,28,157	44,00,920
	Actuarial Gain on Plan Assets	1,99,127	1,02,62,570
	Benefits paid	(8,65,716)	(1,21,46,735)
	Plan assets at the end of the year	1,50,48,018	98,94,861
vi	Actuarial Assumptions		
	Discount Rate	8.00%	8.00%
	Expected Return on plan Assets	8.00%	8.00%
	Salary escalation	4.50%	4.50%

a) Defined Contribution Plans-

The Company's contribution to defined contribution plans aggregating to **Rs.2,65,12,602** (Previous Year Rs.1,87,21,509) has been recognised in the statement of profit and loss account under the heading 'Contribution to Provident and Other Funds' (Schedule 'P') .

b) The assumption of future salary increase, considered in actuarial valuation, takes into account of inflation and other relevant factors.

29 a) Figures in brackets in Notes 9,10,11,18, and 20 pertain to Previous Year.

b) The Previous Year figures have been re-arranged and/or regrouped wherever necessary to make them comparable.

Signature to schedules 'A' to 'R'

As per our report of even date attached

For JAYANTILAL THAKKAR & CO.
Chartered Accountants

ASHOK J. THAKKAR
Partner

VIPUL R. SHAH
Company Secretary

Mumbai,
Dated: 29th May, 2010

For and on behalf of the Board of Directors

D.P. PODDAR Chairman

A.M.PODDAR Vice Chairman & Managing Director

R.D.PODDAR Director

B.K.BANSAL Director (Finance)

Mumbai,
Dated: 29th May, 2010

CASH FLOW STATEMENT

FOR THE YEAR ENDED 31ST MARCH, 2010

	Year Ended 31st March, 2010 Rupees	Year Ended 31st March, 2009 Rupees
A. CASH FLOW FROM OPERATING ACTIVITIES:		
Net profit before tax	311,33,21,325	107,88,30,953
(Less)/Add: Short Provision for (Expenses)/Income (Net)	(16,48,199)	60,14,612
Less: Extra ordinary Item	NIL	(25,15,075)
Net profit before adjustments	311,16,73,126	108,23,30,490
Adjustment for :		
Depreciation and Amortisation	66,21,60,844	56,51,62,762
Income from Investments	(30,55,483)	(3,32,467)
Interest and Finance Charges	18,65,89,946	37,50,44,574
Interest Income	(72,71,482)	(66,26,762)
Loss on Sale of Fixed Assets (Net)	18,76,896	10,60,360
Fixed Assets Discarded/Written Off (Net)	95,31,877	NIL
Unrealised Foreign Exchange differences (Gain)/Loss	(18,42,92,964)	38,50,26,005
Retiring Gratuities	59,71,437	59,36,119
Leave Encashment	39,88,145	60,73,937
Diminution in value of Current Investments	NIL	1,68,34,824
	67,54,99,216	134,81,79,352
Operating profit before working capital changes	378,71,72,342	243,05,09,842
Adjustment for:		
Trade and other receivables	(32,66,02,711)	19,06,88,719
Inventories	(80,79,49,314)	64,22,24,155
Trade payables	32,33,76,771	(10,05,54,945)
	(81,11,75,254)	73,23,57,929
Cash generated from operations	297,59,97,088	316,28,67,771
Direct taxes paid	(100,34,65,474)	(30,75,98,797)
Gratuity paid	(48,83,697)	(44,00,920)
Leave Encashment paid	(30,20,854)	(32,50,400)
Net cash from Operating Activities	196,46,27,063	284,76,17,654
B. CASH FLOW FROM INVESTING ACTIVITIES :		
Purchase of Fixed Assets & Capital Work in Progress	(134,44,39,031)	(125,03,01,252)
Sale of Fixed Assets	87,78,783	33,04,401
Purchase of Investments	(288,66,98,985)	(10,25,10,000)
Sale of Investments	240,16,92,376	10,44,86,600
Inter Corporate Loan Given	NIL	(97,90,586)
Inter Corporate Loan Refund Received	45,00,000	12,07,903
Interest received	75,87,207	66,00,208
Income Received on Investments	30,61,184	2,19,956
Net cash used in Investing Activities	(180,55,18,466)	(124,67,82,770)
C. CASH FLOW FROM FINANCING ACTIVITIES :		
Repayment of Short Term Borrowings (Net)	(383,68,10,520)	(342,72,70,786)
Proceeds from Long Term Borrowings	782,16,82,462	415,65,96,399
Repayment of Long Term Borrowings	(388,15,04,263)	(168,39,20,118)
Dividend paid (including tax thereon)	(13,53,69,268)	(23,62,18,593)
Interest and Finance Charges paid	(19,60,37,412)	(38,59,26,993)
Net Cash from Financing Activities	(22,80,39,001)	(157,67,40,091)
Net (decrease)/increase in cash and cash equivalent	(6,89,30,406)	2,40,94,793
Exchange difference on cash and cash equivalent - (Loss)/Gain	(1,79,584)	3,82,949
Cash and cash equivalent as at the beginning of the year	11,13,89,408	8,69,11,666
Cash and cash equivalent as at the end of the year	4,22,79,418	11,13,89,408

Note :

Direct Taxes paid on income are treated as arising from Operating Activities and are not bifurcated between Investing and Financing Activities.

As per our report of even date attached

For JAYANTILAL THAKKAR & CO.
Chartered Accountants

ASHOK J. THAKKAR
Partner

VIPUL R. SHAH
Company Secretary

Mumbai,
Dated: 29th May, 2010

For and on behalf of the Board of Directors

D.P. PODDAR Chairman
A.M. PODDAR Vice Chairman & Managing Director
R.D. PODDAR Director
B.K. BANSAL Director (Finance)

Mumbai,
Dated: 29th May, 2010

BALANCE SHEET ABSTRACT AND COMPANY'S GENERAL BUSINESS PROFILE

I. Registration Details

Registration No.:

					1	2	1	8	5
--	--	--	--	--	---	---	---	---	---

State Code :

1	1
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Balance Sheet Date:

3	1			0	3			2	0	1	0
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II. Capital raised during the year (Amount in Rs. '000)

Public Issue

					N	I	L
--	--	--	--	--	---	---	---

Bonus Issue

					N	I	L
--	--	--	--	--	---	---	---

Rights Issue

					N	I	L
--	--	--	--	--	---	---	---

Private Placement

					N	I	L
--	--	--	--	--	---	---	---

III. Position of Mobilisation and Deployment of Funds (Amount in Rs. '000)

Total Liabilities

1	5	7	1	7	4	0	2
---	---	---	---	---	---	---	---

Total Assets

1	5	7	1	7	4	0	2
---	---	---	---	---	---	---	---

SOURCES OF FUNDS

Paid up Capital

		1	9	3	3	1	7
--	--	---	---	---	---	---	---

Secured Loans

	2	6	4	2	6	7	6
--	---	---	---	---	---	---	---

Deferred Tax Liability

		5	4	8	1	1	8
--	--	---	---	---	---	---	---

Reserve & Surplus

	6	4	1	4	4	3	7
--	---	---	---	---	---	---	---

Unsecured Loans

	2	0	0	0	6	0	7
--	---	---	---	---	---	---	---

APPLICATION OF FUNDS

Net Fixed Assets

	6	7	3	7	5	3	4
--	---	---	---	---	---	---	---

Net Current Assets

	4	2	5	4	3	5	6
--	---	---	---	---	---	---	---

Accumulated Losses

					N	I	L
--	--	--	--	--	---	---	---

Investments

		8	0	7	2	6	5
--	--	---	---	---	---	---	---

Miscellaneous Expenditure

					N	I	L
--	--	--	--	--	---	---	---

IV. Performance of Company (Amount in Rs. '000)

Turnover(Including Other Income)

1	4	1	3	3	9	8	2
---	---	---	---	---	---	---	---

Profit Before Tax

	3	1	1	3	3	2	1
--	---	---	---	---	---	---	---

Earning Per Share before Extra ordinary item (Basic)

		1	0	7	.	9	7
--	--	---	---	---	---	---	---

Dividend %

						7	0
--	--	--	--	--	--	---	---

Total Expenditure

1	1	0	2	0	6	6	1
---	---	---	---	---	---	---	---

Profit After Tax

	2	0	6	5	2	7	4
--	---	---	---	---	---	---	---

V. Generic Name of Principal Product of the Company

Item code No. (ITC code)

4	0	1	1	0	0										
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Product Description

P	N	E	U	M	A	T	I	C		T	Y	R	E	S		
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For and on behalf of the Board of Directors

D.P. PODDAR Chairman

A.M. PODDAR Vice Chairman & Managing Director

R.D. PODDAR Director

B.K. BANSAL Director (Finance)

VIPUL R. SHAH

Company Secretary

Mumbai,

Dated: 29th May, 2010

Statement Pursuant to Section 212 of the Companies Act, 1956, relating to Company's Interest in Subsidiary Company

Sr. No.	Name of the Subsidiary Company	Balkrishna Paper Mills Ltd.	Balkrishna Synthetics Ltd.	BKT EXIM Ltd.	BKT Tyres Ltd.	BKT (EUROPE) Ltd.	BKT EUROPE S.R.L.	BKT (USA) INC
1	Financial year of the Subsidiary ended on	31 st March, 2010	31 st March, 2010	31 st March, 2010	31 st March, 2010	31 st March, 2010	31 st March, 2010	31 st March, 2010
2	Shares of the subsidiary held by the company directly or through its subsidiary companies as on 31 st March, 2010	30,00,000 Ordinary shares of Rs.10 each fully paid up	10,00,000 Ordinary shares of Rs.10 each fully paid up	3,00,000 Ordinary shares of Rs.10 each fully paid up	40,000 Ordinary shares of Rs.10 each fully paid up	5,000 Ordinary shares of Stg Pound 1 each fully paid up	10,000 Euro	1,500 Ordinary shares of USD 1 each
		19,50,000, 1% Optionally convertible Redeemable Preference Share of Rs.10 each fully paid up	6,50,000 1% Optionally convertible Redeemable Preference Share of Rs.10 each fully paid up	-	-	-	-	-
3	Extent of holding (%)	100%	100%	100%	80%	100%	100%	100%
	The net aggregate of profit/(loss) for the current period of the Subsidiary so far as it concerns the members of the holding Company							
4	a) Dealt with or provided for in the accounts of holding Company	-	-	-	-	-	-	-
	b) Not dealt with or provided for in the accounts of the holding Company (Rs. In Crores)	7.42	2.74	(0.02)	(0.01)	0.05	0.15	0.11
	The net aggregate of profit/(loss) for the previous financial years of the Subsidiary so far as it concerns the members of the holding Company							
5	a) Dealt with or provided for in the accounts of holding Company	-	-	-	-	-	-	-
	b) Not dealt with or provided for in the accounts of the holding Company	4.35	(0.06)	(0.03)	(0.01)	(0.03)	(0.08)	N.A.

Details of Subsidiary Companies

	Particulars	Amount (Rs. In Crores)						
1	Capital	4.95	1.65	0.30	0.05	0.04	0.06	0.01
2	Reserves	33.81	10.05	(0.08)	(0.01)	0.11	0.13	0.11
3	Total Assets (Net Fixed Assets + Investments + Current Assets)	63.58	29.19	0.22	0.04	0.24	1.48	0.29
4	Total Liabilities (Total Debts + Current Liabilities and Provisions)	24.81	17.49	0.00	0.00	0.09	1.29	0.17
5	Details of Investment	10.75	0.56	0.16	0.00	0.00	0.00	0.00
6	Turnover	145.95	34.77	0.00	0.00	0.68	8.39	1.78
7	Profit Before Taxation	11.10	3.56	(0.02)	(0.01)	0.06	0.57	0.13
8	Provision of Tax	3.68	0.82	0.00	0.00	0.01	0.42	0.02
9	Profit/(Loss) After Taxation	7.42	2.74	(0.02)	(0.01)	0.05	0.15	0.11
10	Proposed Dividend (On Preference Shares + Dividend Tax)	0.02	0.01	0.00	0.00	0.00	0.00	0.00

For and on behalf of the Board of Directors

D.P. PODDAR Chairman

A.M. PODDAR Vice Chairman & Managing Director

R.D. PODDAR Director

B.K. BANSAL Director (Finance)

VIPUL R. SHAH

Company Secretary

Mumbai,

Dated: 29th May, 2010

Auditors' Report on Consolidated Financial Statements

To the Board of Directors

BALKRISHNA INDUSTRIES LIMITED

1. We have audited the attached Consolidated Balance Sheet of Balkrishna Industries Limited (the Company) and its subsidiaries (collectively referred to as 'the Group'), as at 31st March, 2010 and also the Consolidated Profit and Loss Account and the Consolidated Cash Flow Statement for the year ended on that date annexed thereto. These financial statements are the responsibility of the Company's management and have been prepared by the management on the basis of separate financial statements and other financial information regarding components. Our responsibility is to express an opinion on these financial statements based on our audit.
2. We conducted our audit in accordance with auditing standards generally accepted in India. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.
3. (i) We did not audit the financial statements of the subsidiary, BKT (EUROPE) LTD. (incorporated in UK), whose financial statements reflect total assets of Rs.10,60,882 (net) as at 31st March, 2010, total revenue of Rs.68,44,477 and net cash inflows amounting to Rs.13,10,784 for the year ended on that date. These financial statements have been audited by other auditors, Chartered Certified Accountants of United Kingdom, whose report has been furnished to us and our opinion is based solely on the report of the other auditors.
- (ii) We did not audit the financial statements of the subsidiary, BKT EUROPE S.R.L. (incorporated in Italy), whose financial statements reflect the total assets of Rs.11,54,217 (net) as at 31st March 2010, total revenue of Rs.8,38,80,629 and net cash inflows amounting to Rs.9,28,993 for the year ended on that date. These financial statements have been certified by a Certified Public Accountant of Italy, whose report has

been furnished to us and our opinion is based solely on the report of the said accountant.

- (iii) We did not audit the financial statements of the subsidiary, BKT (USA) INC (incorporated in USA), whose financial statements reflect the total assets of Rs. 11,57,495 (net) as at 31st March 2010, total revenue of Rs.1,78,01,376 and net cash inflows amounting to Rs.11,66,327 for the year ended on that date. These financial statements have been reviewed by a Certified Public Accountant of USA, whose review report has been furnished to us and our opinion is based solely on the report of the said accountant.
4. We report that the consolidated financial statements have been prepared by the Company's management in accordance with the requirements of Accounting Standard (AS) 21, Consolidated Financial Statements, as notified under the Companies (Accounting Standards) Rules, 2006.
5. Based on our audit and on consideration of the report of the other auditors and the certificate of the accountants, on separate financial statements and on other financial information of the components and to the best of our information and explanations given to us, we are of the opinion that the attached Consolidated Financial Statements give a true and fair view in conformity with the accounting principles generally accepted in India:
 - (i) in the case of the Consolidated Balance Sheet, of the state of affairs of the Group as at 31st March, 2010;
 - (ii) in the case of the Consolidated Profit and Loss Account, of the profit of the Group for the year ended on that date; and
 - (iii) in the case of Consolidated Cash Flow Statement, of the cash flows of the Group for the year ended on that date.

FOR JAYANTILAL THAKKAR & CO.
Chartered Accountants
(ICAI Reg. No. 104133W)

ASHOK J. THAKKAR
Partner
Membership No. 7860

Mumbai,
Dated : 29th May, 2010

CONSOLIDATED BALANCE SHEET

AS AT 31ST MARCH, 2010

	Schedule	Rupees	Current Year Rupees	Previous Year Rupees
I. SOURCES OF FUNDS				
1. SHAREHOLDERS' FUNDS :				
a) Capital	'A'	19,33,17,190		19,33,17,190
b) Reserves and Surplus	'B'	662,05,53,033		458,79,44,736
			681,38,70,223	478,12,61,926
			82,503	84,338
2. MINORITY INTEREST				
3. LOAN FUNDS :				
a) Secured Loans	'C'	275,53,12,855		340,43,35,062
b) Unsecured Loans	'D'	202,19,80,498		142,17,21,880
			477,72,93,353	482,60,56,942
			57,55,56,514	54,56,71,892
4. DEFERRED TAX LIABILITY (NET) (Refer Note No. 10 in Schedule 'R')				
TOTAL			1216,68,02,593	1015,30,75,098
II. APPLICATION OF FUNDS				
1. FIXED ASSETS :	'E'			
a) Gross Block		909,23,34,999		772,13,51,466
b) Less : Depreciation		262,78,01,182		208,06,80,733
c) Net Block		646,45,33,817		564,06,70,733
d) Capital Work-in-Progress		68,66,66,333		81,52,30,762
			715,12,00,150	645,59,01,495
			5,99,090	5,99,090
2. GOODWILL (On Consolidation)				
3. INVESTMENTS	'F'		61,69,63,591	3,94,25,538
4. CURRENT ASSETS, LOANS AND ADVANCES :				
a) Inventories	'G'	217,73,91,499		133,25,66,211
b) Sundry Debtors	'H'	253,12,05,693		220,75,12,575
c) Cash and Bank Balances	'I'	5,36,93,068		11,69,82,109
d) Other Current Assets	'J'	11,54,837		23,22,034
e) Loans and Advances	'K'	382,22,67,176		287,27,23,303
		858,57,12,273		653,21,06,232
Less : CURRENT LIABILITIES AND PROVISIONS :				
a) Liabilities	'L'	132,99,69,804		88,25,90,233
b) Provisions	'M'	285,77,02,707		199,23,67,024
		418,76,72,511		287,49,57,257
NET CURRENT ASSETS			439,80,39,762	365,71,48,975
TOTAL			1216,68,02,593	1015,30,75,098

ACCOUNTING POLICIES AND NOTES TO THE ACCOUNTS 'R'

The Schedules referred to above form an integral part of the Balance Sheet.

As per our report of even date attached

For JAYANTILAL THAKKAR & CO.
Chartered Accountants

ASHOK J. THAKKAR
Partner

Mumbai,
Dated: 29th May, 2010

VIPUL R. SHAH
Company Secretary

For and on behalf of the Board of Directors

D.P. PODDAR Chairman
A.M. PODDAR Vice Chairman & Managing Director
R.D. PODDAR Director
B.K. BANSAL Director (Finance)

Mumbai,
Dated: 29th May, 2010

CONSOLIDATED PROFIT & LOSS ACCOUNT



FOR THE YEAR ENDED 31ST MARCH, 2010

	Schedule	Current Year Rupees	Previous Year Rupees
INCOME :			
Sales and Related Income	'N'	1580,32,16,235	1417,06,21,970
Less: Excise Duty Recovered on Sales		16,59,18,820	17,19,74,425
		1563,72,97,415	1399,86,47,545
Other Income	'O'	30,03,10,064	7,12,38,603
		1593,76,07,479	1406,98,86,148
EXPENDITURE :			
Manufacturing, Trading and Other Expenses	'P'	1179,20,68,986	1195,86,41,294
Interest and Finance Charges	'Q'	19,32,62,905	38,35,27,746
Depreciation and Amortisation		68,63,70,839	58,62,52,557
		1267,17,02,730	1292,84,21,597
		326,59,04,749	114,14,64,551
Add : Exceptional Item (Refer Note No. 5 in schedule 'R')		NIL	84,37,445
PROFIT BEFORE TAX		326,59,04,749	114,99,01,996
Less : Provision for Taxation			
- Current Tax		106,75,73,353	29,44,22,827
- Deferred Tax (Net)		2,98,84,607	10,35,90,145
- Fringe Benefit Tax		NIL	1,13,40,000
PROFIT AFTER TAX		216,84,46,789	74,05,49,024
(Less)/Add: Adjustments relating to earlier years			
Short Provision for (Expenses)/Income (Net)		(16,48,199)	59,77,112
Excess Provision for Taxation - Current Tax of earlier years		2,36,48,386	NIL
		219,04,46,976	74,65,26,136
Add: Minority Interest Loss		1,835	3,799
Profit before Extra ordinary Item		219,04,48,811	74,65,29,935
Less : Extra ordinary Item (Refer Note No.6 in schedule 'R')		NIL	25,15,075
Profit after Extra ordinary Item		219,04,48,811	74,40,14,860
Balance Brought Forward From Last Year		76,15,46,291	64,78,42,959
PROFIT AVAILABLE FOR APPROPRIATION		295,19,95,102	139,18,57,819
APPROPRIATIONS :			
Transfer to General Reserve		20,87,27,458	49,46,08,660
Interim Dividend		13,53,22,033	NIL
Proposed Final Dividend		NIL	11,59,90,314
Tax on Dividend		2,25,18,481	1,97,12,554
		36,65,67,972	63,03,11,528
Balance Carried to Balance Sheet		258,54,27,130	76,15,46,291
		295,19,95,102	139,18,57,819
Earning Per Share before Extra ordinary item			
- Basic		113.31	38.62
- Diluted		110.64	38.96
Earning Per Share after Extra ordinary item			
- Basic		113.31	38.49
- Diluted		110.64	38.84
(Refer Note No.12 in Schedule 'R')			

ACCOUNTING POLICIES AND NOTES TO THE ACCOUNTS 'R'

The Schedules referred to above form an integral part of the Profit and Loss Account.

As per our report of even date attached

For JAYANTILAL THAKKAR & CO.
Chartered Accountants

ASHOK J. THAKKAR
Partner

Mumbai,
Dated: 29th May, 2010

VIPUL R. SHAH
Company Secretary

For and on behalf of the Board of Directors

D.P. PODDAR Chairman
A.M. PODDAR Vice Chairman & Managing Director
R.D. PODDAR Director
B.K. BANSAL Director (Finance)

Mumbai,
Dated: 29th May, 2010

Consolidated Accounts

SCHEDULE 'A'

Authorised :

2,50,00,000 Equity Shares of Rs. 10 each

Issued and Subscribed :

1,93,31,719 Equity Shares of Rs.10 each, fully paid up

(Of the above Shares :

- i) 1,68,73,160 Equity Shares were allotted as fully paid up, by way of Bonus Shares by capitalisation of Share Premium Account and General Reserve.
- ii) 97,560 Equity Shares were allotted as fully paid up on conversion of convertible portion of partly convertible Debentures.
- iii) 7,60,999 Equity Shares were allotted as fully paid up on conversion of Foreign Currency Convertible Bonds-FCCB.)

SCHEDULE 'B'

Capital Reserves

Capital Incentive Reserve :

As per last Balance Sheet

Capital Surplus Reserve :

As per last Balance Sheet

Share Premium Account :

As per last Balance Sheet

General Reserve :

As per last Balance Sheet

Add : Transferred from Profit and Loss Account

Surplus in Profit and Loss Account

SCHEDULE 'C'

SECURED LOANS :

Working Capital Loans

- From Banks

Term Loans

- From Banks

- From Others

(Refer Note No.3 in Schedule 'R')

SCHEDULE 'D'

UNSECURED LOANS :

Short Term Loans and Advances :

- i) From Banks
- ii) Distributors' /Dealers' Deposits

Other Loans and Advances :

- i) 4.5% Foreign Currency Convertible Bonds 'Series B' (Refer Note No. 17 in Schedule 'R')
- ii) Distributors'/Dealers' Deposits
- iii) Deferred Sales Tax under the scheme of Government of Maharashtra

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SCHEDULE 'E'

GROSS BLOCK (AT COST)					DEPRECIATION (INCLUDING AMORTISATION)				NET BLOCK	
FIXED ASSETS	AS AT 01-04-2009	ADDITIONS DURING THE YEAR	DEDUCTIONS DURING THE YEAR	AS AT 31-03-2010	TOTAL UPTO 31-03-2009	FOR THE YEAR	DEDUCTIONS DURING THE YEAR	TOTAL UPTO 31-03-2010	AS AT 31-03-2010	AS AT 31-03-2009
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Freehold Land	3,90,33,176	NIL	NIL	3,90,33,176	NIL	NIL	NIL	NIL	3,90,33,176	3,90,33,176
Leasehold Land	7,88,45,782	NIL	NIL	7,88,45,782	38,03,539	8,50,868	NIL	46,54,407	7,41,91,375	7,50,42,243
Buildings and Roads	104,64,86,756	61,01,79,013	1,19,72,986	164,46,92,783	9,35,53,451	3,71,74,747	44,02,297	12,63,25,901	151,83,66,882	95,29,33,305
Plant and Machinery	590,29,14,929	84,08,29,848	13,93,42,732	660,44,02,045	184,67,55,756	61,18,15,327	12,79,61,543	233,06,09,540	427,37,92,505	405,61,59,173
Factory, Office and Other Equipments	31,14,29,370	3,56,54,991	13,61,748	34,57,22,613	6,57,38,485	1,85,06,902	7,77,643	8,34,67,744	26,22,54,869	24,56,90,885
Electric Installations	21,11,90,646	1,97,38,103	1,06,96,262	22,02,32,487	3,88,50,629	1,00,15,191	1,00,65,624	3,88,00,196	18,14,32,291	17,23,40,017
Furniture and Fixtures	5,62,23,815	72,95,549	18,580	6,35,00,784	1,42,78,279	36,61,291	7,385	1,79,32,185	4,55,68,599	4,19,45,536
Vehicles	3,48,10,527	1,69,45,466	11,35,178	5,06,20,815	61,52,854	33,88,952	1,35,403	94,06,403	4,12,14,412	2,86,57,673
Air Conditioners	90,87,149	28,62,751	2,65,875	1,16,84,025	14,33,529	4,84,747	92,476	18,25,800	98,58,225	76,53,620
Intangible Assets - Computer Software	3,13,29,316	25,79,923	3,08,750	3,36,00,489	1,01,14,211	46,64,795	NIL	1,47,79,006	1,88,21,483	2,12,15,105
Current Year Total	772,13,51,466	153,60,85,644	16,51,02,111	909,23,34,999	208,06,80,733	69,05,62,820*	14,34,42,371	262,78,01,182	646,45,33,817	-
Previous Year Total	600,04,65,116	173,01,61,236	92,74,886	772,13,51,466	149,34,43,909	59,02,59,370	30,22,546	208,06,80,733	-	564,06,70,733
Capital Work In Progress (Including capital advances of Rs.29,35,64,612 ; Previous Year Rs. 21,41,89,931)									68,66,66,333	81,52,30,762

*Including depreciation capitalised Rs.41,91,981 (Previous Year Rs. 40,06,814) and short Depreciation of Rs.15,69,221 (net) of earlier years (Previous Year net of excess Depreciation of Rs.7,23,058 of earlier years)
Freehold Land of Rs. 12,29,025 (Previous Year Rs. 12,29,025) is acquired on the basis of purchase agreements. The transfer of the title deeds / conveyance in the name of the Company is yet to be completed.

SCHEDULE 'F'

INVESTMENTS :

Other Than Trade (unless otherwise stated) :
(Fully paid up)

LONG TERM INVESTMENTS (At Cost) :

Unquoted :

In shares: (Trade)

Tarapur Environment Protection Society :

55,657 Equity Shares of Rs.100 each

VS Lignite Power Private Limited :

5,77,777 Class 'A' Equity Shares of Rs.10 each

11,14,223 Class 'A' 0.01% Cumulative Redeemable

Preference Shares of Rs. 10 each

In Government Securities :

6 Year National Savings Certificates (Purchased during
the Current Year Rs.3,000 ; Previous Year Rs.10,000)

(Matured during the Current Year Rs.10,000;

Previous Year Rs. 3,000)

Quoted :

In Debentures:

3,000 Nifty Linked Non Convertible, Fully Redeemable,
Secured Debenture of Rs.1,00,000 each
(Market Value not available)

In Shares:

4,98,759 Equity Shares of Govind Rubber Limited of
Rs. 10 each

Less: Provision for Diminution in value

CURRENT INVESTMENTS (At Lower of Cost and Fair(Market Value) :

In Mutual Fund : (Unquoted)*

*(Refer Note No. 9 in Schedule 'R')

Rupees	Current Year Rupees	Previous Year Rupees
	55,65,700	55,65,700
57,77,770		57,77,770
1,11,42,230		1,11,42,230
	1,69,20,000	1,69,20,000
	2,24,85,700	2,24,85,700
	16,000	23,000
	2,25,01,700	2,25,08,700
30,00,00,000		NIL
1,87,50,059		1,87,50,059
1,68,34,824		1,68,34,824
19,15,235		19,15,235
	30,19,15,235	19,15,235
	32,44,16,935	2,44,23,935
	29,25,46,656	1,50,01,603
	61,69,63,591	3,94,25,538

SCHEDULE 'G'**INVENTORIES :**

(As certified by the Management)
(At lower of Cost and Net Realisable Value)

Stores and Spares Parts		18,11,63,630	13,87,06,567
Packing Materials and Fuel		1,99,71,221	1,49,41,975
Stock-in-Trade :			
Raw Materials	145,34,93,425		58,47,37,391
Finished Goods	32,17,65,361		40,72,38,370
		177,52,58,786	99,19,75,761
Work-in-Process		20,09,97,862	18,69,41,908
		217,73,91,499	133,25,66,211

SCHEDULE 'H'**SUNDRY DEBTORS - (UNSECURED):**

Debts outstanding for a period exceeding six months:

Considered Good	3,41,72,101		1,51,11,885
Considered Doubtful	76,39,577		76,39,577
		4,18,11,678	2,27,51,462
Other Debts - Considered Good		249,70,33,592	219,24,00,690
		253,88,45,270	221,51,52,152
Less : Provision for Doubtful Debts		76,39,577	76,39,577
		253,12,05,693	220,75,12,575

SCHEDULE 'I'**CASH AND BANK BALANCES:**

Cash Balance on Hand		38,66,507	41,44,426
Bank Balances :			
With Scheduled Banks on :			
Current Accounts	3,52,42,976		8,67,63,831
Unpaid/Unclaimed Dividend Accounts	74,22,446		71,33,033
Fixed Deposits (Lodged with Government Authorities)	7,02,977		25,000
Margin Accounts (Fixed Deposits)	2,09,799		1,52,68,188
(Deposits against Guarantees/Letters of Credit)			
	4,35,78,198		10,91,90,052
With Others Banks:			
First Merit Bank - USA	11,66,327		NIL
On Current Account			
(Maximum balance outstanding at any time during the year Rs. 4,45,01,146 ; Previous Year Rs. NIL)			
HSBC Bank Plc			
On Current Account	4,05,544		2,40,296
(Maximum balance outstanding at any time during the year Rs. 15,64,635 (Previous Year Rs.9,67,573)			
On Fixed Deposit Account	3,40,164		NIL
(Maximum Balance outstanding at any time during the year Rs.3,45,491 ; Previous Year Rs.NIL)			
Deutsche Bank - S.p.A.			
On Current Account	43,36,328		34,07,335
(Maximum balance outstanding at any time during the year Rs.2,43,36,971 (Previous Year Rs.1,19,14,322)			
	62,48,363		36,47,631
		4,98,26,561	11,28,37,683
		5,36,93,068	11,69,82,109

SCHEDULE 'J'**OTHER CURRENT ASSETS:**

Interest Accrued On			
- Investments	1,986		7,687
- Others	11,33,670		23,14,347
		11,35,656	23,22,034
Dividend Accrued on Investment		19,181	NIL
		11,54,837	23,22,034

SCHEDULE 'K'

LOANS AND ADVANCES:

(Unsecured - Considered Good)

Advances recoverable in cash or in kind or for value to be received

Deposits against payment of Excise Duty

Advance payment of Taxes and Tax Deducted at source

Loans and Advances to Employees

SCHEDULE 'L'

CURRENT LIABILITIES:

Acceptances

Sundry Creditors

i) Outstanding Dues of Micro and Small Enterprises #

ii) Outstanding Dues of Creditors other than Micro and Small Enterprises *

Investor Education and Protection Fund : Unclaimed Dividends

(No amount is due and outstanding to be credited to the Fund)

Credit Balance in Bank Account (As per books of account)

Other Liabilities

Interest accrued but not due on Loans

(Refer Note No.20 in Schedule 'R')

* Includes Due to Directors **Rs.3,27,35,599**

(Previous Year Rs.89,96,165)

SCHEDULE 'M'

PROVISIONS :

Taxation

Interim Dividend

Proposed Final Dividend

Tax on Dividend

Employee Benefits (Net)

SCHEDULE 'N'

SALES AND RELATED INCOME :

Sales

Export Incentives

Processing/ Job Charges

SCHEDULE 'O'

OTHER INCOME:

Income from Investments (Gross) (Other than Trade):

Long Term Investments :

Interest

Current Investments :

Profit on Sale/Redemption of Investments

Dividend

Unrealised Foreign Exchange Differences (Net)

Withdrawal of Provision for Doubtful Debts no longer required

Miscellaneous Income (Refer Note no.4 in Schedule 'R')

Interest Subsidy from Government of Rajasthan

Interest on outstanding Debts, Loans and Advances

(Tax Deducted at source **Rs. 6,57,889** Previous Year Rs.24,96,581)

SCHEDULE 'P'

MANUFACTURING, TRADING AND OTHER EXPENSES:

Purchase of Traded Goods

Raw Materials Consumed

Stores and Spare Parts Consumed

Packing Expenses

Power and Fuel (Net)

Rupees	Current Year Rupees	Previous Year Rupees
	102,92,21,050	91,93,76,895
	1,72,098	1,96,738
	278,81,06,231	194,74,29,233
	47,67,797	57,20,437
	382,22,67,176	287,27,23,303
	24,22,32,718	15,74,01,610
NIL	NIL	NIL
100,07,27,527	100,07,27,527	62,81,81,486
	74,22,446	62,81,81,486
	1,23,92,752	73,17,059
	4,84,22,743	5,43,37,961
	1,87,71,618	2,82,19,084
	132,99,69,804	88,25,90,233
	266,13,19,743	182,24,74,437
	13,53,22,033	NIL
	NIL	11,59,90,314
	2,25,18,481	1,97,12,554
	3,85,42,450	3,41,89,719
	285,77,02,707	199,23,67,024
	1509,89,44,996	1350,83,07,564
	36,26,59,606	33,52,67,055
	34,16,11,633	32,70,47,351
	1580,32,16,235	1417,06,21,970
	1,258	935
4,14,722	50,13,016	NIL
	54,27,738	1,22,888
	54,28,996	1,22,888
	18,41,19,915	1,23,823
	NIL	NIL
	9,54,03,651	54,595
	NIL	5,55,93,129
	1,53,57,502	28,72,145
	30,03,10,064	1,25,94,911
	7,12,38,603	7,12,38,603
	12,63,88,346	11,19,81,079
	762,83,01,855	789,65,80,942
	59,73,99,975	48,87,58,640
	3,52,87,869	3,04,75,173
	88,83,40,303	81,71,45,600

	Rupees	Current Year Rupees	Previous Year Rupees
Excise Duty on variation of Stock of Finished Goods		12,76,970	(24,83,109)
Labour/Job Charges		27,93,72,261	26,62,58,953
Water Charges		1,52,64,824	1,22,02,046
Freight and Forwarding (Net)		66,00,53,327	85,40,66,778
Salaries, Wages and Bonus		52,68,74,664	40,75,28,114
Contribution to Provident and Other Funds		3,87,91,986	3,04,06,124
Workmen and Staff Welfare Expenses		89,28,518	86,57,572
Gratuities		9,43,280	
Repairs and Maintenance of :			
Plant and Machinery	6,68,06,710		6,60,44,162
Buildings	11,73,03,133		3,51,14,305
Others	3,10,28,327		2,51,88,090
		21,51,38,170	12,63,46,557
Insurance Charges (Net)		1,76,51,908	1,68,84,717
Rates and Taxes		1,12,10,512	1,44,23,741
Rent/Lease Rent		2,98,49,689	3,09,82,651
Legal and Professional Charges		8,10,88,589	6,88,90,128
Advertisement, Publicity and Sales Promotion		33,67,99,103	13,92,04,233
Commission and Brokerage on Sales		1,65,24,319	1,22,77,639
Discount		1,59,66,095	73,23,508
Traveling and Conveyance		5,23,24,708	4,99,56,332
Directors' Meeting Fees		5,00,000	5,57,500
Provision for Doubtful Advances		1,31,080	NIL
Provision for Diminution in Value of Long Term Investment		NIL	1,68,34,824
Fixed Assets Discarded/ Written off (Net)		95,43,072	5,57,473
Loss on Sale of Fixed Assets (Net)		13,74,076	2,68,547
Unrealised Foreign Exchange Differences (Net)		NIL	38,69,99,436
Miscellaneous Expenses		12,53,26,432	21,02,81,519
DECREASE/(INCREASE) IN STOCKS:			
Opening Stock			
Work-in-Process	18,69,41,908		16,98,08,628
Finished Goods	40,72,38,370		37,96,46,227
	59,41,80,278		54,94,54,855
Less :			
Closing Stock :			
Work-in-Process	20,09,97,862		18,69,41,908
Finished Goods	32,17,65,361		40,72,38,370
	52,27,63,223		59,41,80,278
		7,14,17,055	(4,47,25,423)
		1179,20,68,986	1195,86,41,294
SCHEDULE 'Q'			
INTEREST AND FINANCE CHARGES:			
Interest			
On Debenture and Fixed Loans	15,45,56,447		32,12,36,922
To Others	1,93,16,630		62,55,017
		17,38,73,077	32,74,91,939
Finance Charges		1,93,89,828	5,60,35,807
		19,32,62,905	38,35,27,746

SCHEDULE 'R'**ACCOUNTING POLICIES AND NOTES TO THE CONSOLIDATED ACCOUNTS****A. SIGNIFICANT ACCOUNTING POLICIES****Basis of preparation of consolidated financial statements**

The consolidated financial statement relates to Balkrishna Industries Limited (the Company) and its subsidiaries. The Company and its Subsidiaries constitute the Group. The accounts have been prepared in accordance with historical cost convention and on accrual basis.

Principles of consolidation

The consolidated financial statements are prepared in accordance with the principles and procedures required for the preparation and presentation of consolidated financial statements as laid down under the Accounting Standard (AS 21) – 'Consolidated Financial Statements', as notified under the Companies (Accounting Standards) Rules, 2006.

The financial statement of the Company and its subsidiaries have been combined on a line-by-line basis by adding together the book values of like items of assets, liabilities, income and expenses after eliminating intra group balances/ transactions and unrealised profits or losses.

All intra-group transactions have been entered at common rates.

The excess of cost of investments in the Subsidiary Companies over the Company's portion of equity of the Subsidiary at the date of investment made is recognised in the financial statements as goodwill. The excess of Company's portion of equity of the Subsidiaries over the cost of the investment there in is treated as Capital Reserve.

Minority interest in the net assets of Subsidiary consist of the amount of equity attributable to the minority shareholders at the date on which investment is made by the Company in the Subsidiary Company and further movements in their share in the equity, subsequent to the date of investment as stated above.

The consolidated financial statements are prepared by using uniform accounting policies for like transactions and other events in similar circumstances are presented to the extent possible, in the same manner as in the Company's separate financial statements unless stated otherwise.

The following subsidiary Companies are considered in the consolidated financial statement.

Sr. No.	Name of the Subsidiary Company	Country of Incorporation	% of holding either directly or through subsidiary in the Current and Previous Year
Direct Subsidiaries			
1.	Balkrishna Paper Mills Limited	India	100%
2.	Balkrishna Synthetics Limited	India	100%
3.	BKT Exim Limited	India	100%
4.	BKT Tyres Limited	India	80%
Indirect Subsidiaries			
5.	BKT (EUROPE) LTD.	U.K.	100%
6.	BKT EUROPE S.R.L.	Italy	100%
7.	BKT (USA) INC	USA	100%

Use of Estimates

The presentation of financial statements in conformity with the generally accepted accounting principles requires estimates and assumptions to be made that affect the reported amounts of assets and liabilities on the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Difference between the actual and estimates are recognised in the period in which the results are known/materialised.

Fixed Assets

- Fixed Assets are stated at cost less depreciation. Cost comprises of purchase price and attributable expenses (including financing charges) and is net of permissible credits/set offs.
- Expenditure (including financing charges) incurred for fixed assets, the construction / installation/acquisition of which is not completed, is included under the Capital Work-in-Progress and the same is related/classified to the respective fixed assets on the completion.

Depreciation/Amortisation

- In respect of the Company and its subsidiaries in India :
 - Depreciation on Fixed Assets (Other than leasehold land) has been provided for in accordance with schedule XIV to the Companies Act, 1956 on Straight Line Method. In respect of fixed assets whose actual cost does not exceed five thousand rupees, depreciation at the rate of 100 percent, irrespective of the date of addition during the year.
 - Premium on Leasehold Land is amortized over the duration of the Lease.
- In respect of overseas subsidiaries, depreciation has been provided by the overseas subsidiaries as per the methods and at the rates required/permissible by the local laws so as to write off assets over their useful lives.

Investments

Investments are valued at cost plus attributable expenses of acquisition and are classified as Long Term Investments and Current Investments (investments intended to be held for not more than one year). Long Term Investments are stated at cost. However, where there is a diminution, other than temporary, in the value of a long-term investment, necessary provision is made to recognise the decline. Current Investments are stated at lower of cost and fair value, computed on individual investment basis.

Valuation of Inventories

Inventories are valued at lower of the cost and net realisable value. Cost of inventories is computed on moving weighted average basis by the Company and one of the Subsidiaries – Balkrishna Synthetics Limited (In case of other Subsidiary Companies, the cost is computed on First in First Out basis). Cost comprises of all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition.

Sales-Processing/Job Charges

Sales are inclusive of Excise Duty but excluding Value Added Tax/Central sales tax and are net of Trade Discounts, Rebates and Incentives. Processing charges are excluding Excise Duty, as the concerned subsidiary is not liable to pay the duty and the same is borne by the Customer.

Export Benefits

Consumption of Raw Materials is arrived at after adjusting the difference between the cost of indigenous/duty paid imported raw materials and international cost of raw materials entitled to be imported/imported under Duty Exemption Scheme of the Government of India against direct/indirect exports made/to be made by the Company during the year. Export Incentives under Duty Entitlement Pass Book Scheme and Focus Market Scheme under EXIM policy/ Foreign Trade Policy are accounted for in the year of export. Profit/Loss on sale of DEPB/ Import licenses is accounted for in the year of such sale.

Foreign Exchange Transactions

Transactions in foreign currencies are accounted at the exchange rates prevailing on the day of the transaction. Gains and losses arising out of subsequent fluctuations are accounted on actual payment/realisation. Monetary items related to foreign currency transactions, remaining unsettled at the end of the year are adjusted at the rates prevailing at the year end or are stated at the amounts likely to be realised or required to be disbursed, except for those considered doubtful of recovery. The exchange fluctuation arising on account of such adjustments are dealt in Profit and Loss Account. Non-monetary items are reported by using the exchange rate at the date of transaction.

The Company enters into Forward Contracts to hedge its Foreign Currency Exposures. Premium/ Discount in respect of outstanding forward contracts at the year end are amortized as expense or income over the life of the contract.

Employee Benefits:

- In respect of the Company and its subsidiaries in India:

A) Short-term employee benefits:

Short-term employee benefits consisting of wages, salaries, social security contributions, ex-gratia and accrued leave are recognised in the year to which it relates.

B) Post employment benefits:

- i) Benefits in the nature of contribution to provident fund, superannuation scheme, employee state insurance scheme etc. provided by the company to the employees have been identified as defined contribution plans in terms of provisions of AS-15 on "Employee Benefits" where the obligation of the company is limited to a pre-agreed amount as fixed by the administrator of those plans. Such contributions are recognised in the year to which they relate.
- ii) Benefit in the nature of gratuity paid by company to the employees has been identified as defined benefit plan in terms of provisions of AS-15 on "Employee Benefits". The gratuity scheme in respect of the employees of the company is administered through Life Insurance Corporation of India (LIC). Annual contributions as determined by LIC are charged to Profit and Loss Account. The liability of the company is also determined through actuarial valuation technique at Balance Sheet date and the additional liability, if any, arising out of the difference between the actuarial valuation and the plan assets as at the Balance Sheet date is provided for at the year end.

(2) In respect of overseas subsidiaries the benefits are paid/provided as per the requirement of local laws .

Research and Development

Revenue expenditure on Research and Development is charged to Profit and Loss Account as incurred. Capital expenditure on assets acquired for Research and Development is added to Fixed Assets.

Government Grants

Special Capital Incentive received from the Government for setting up/expansion of an industrial undertaking in underdeveloped area of the State, is credited to Capital Reserve (Capital Incentive Reserve). Government grants/subsidy related to specific fixed assets is reduced from the cost of the asset concerned.

Borrowing Cost

Borrowing costs directly attributable to the acquisition/construction/installation of fixed assets are capitalised as part of the cost of the assets up to the date the assets are put to use. Other borrowing costs are charged to Profit and Loss Account.

Taxation

- a) Provision for current tax is made and retained in the accounts on the basis of estimated tax liability as per the applicable provisions of the respective taxation laws.
- b) Deferred tax assets and liabilities are recognised for timing differences between the accounting and taxable income, based on tax rates that have been enacted or substantively enacted by the Balance Sheet date. Deferred tax assets, subject to the consideration of prudence, are recognised only if there is reasonable certainty that sufficient future taxable income will be available, against which they can be realised. At each Balance Sheet date, the carrying amount of deferred tax assets is reviewed to reassure its realisation.
- c) Deferred tax at overseas subsidiaries is provided at appropriate rates on all timing differences using the liability method only to the extent that, in the opinion of the Management, there is a reasonable probability that a liability or asset will crystallise in the foreseeable future.

Leases

Assets acquired on leases where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Lease rentals are charged to the Profit and Loss Account on accrual basis. Assets leased out under operating lease are capitalised, depreciation thereon is provided in the books and rental income is recognised on accrual basis over the lease term. Assets leased out are stated at original cost and the depreciation thereon is provided in the books

Impairment

The carrying amount of an asset is reviewed at each Balance Sheet date for any indication of impairment based on internal/external factors. An impairment loss is recognised wherever the carrying amount of an asset exceeds its recoverable amount. The recoverable amount is the greater of the asset's net selling price and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value at the weighted average cost of capital.

Provisions, Contingent Liabilities and Contingent Assets

A provision is made based on a reliable estimate when it is probable that an outflow of resources embodying economic benefit will be required to settle an obligation. Contingent Liabilities, if material, are disclosed by way of notes to the accounts. Contingent Assets are not recognised or disclosed in the financial statements.

B. NOTES TO CONSOLIDATED ACCOUNTS :**1 Estimated amount of contracts remaining to be executed on capital account and not provided for (Net of advances)****2 Contingent Liabilities in respect of:**

- a) Guarantees given by the Company's bankers on behalf of the Company against the Company's indemnity
- b) Premium payable on redemption of Foreign Currency Convertible Bonds 'Series B'
- c) Disputed claims for excise, sales tax, service tax and textile committee cess
- d) Disputed income tax demands
- e) Other claims against the Company not acknowledged as debts (Workmen and other business claims)
(The outflow in respect of contingent liabilities is totally uncertain as the same depends on the final outcome of the disputes, wherever applicable)

3 Nature of security in respect of "Secured Loans"

- I Working Capital Loans from Banks :
Cash Credits, Packing Credit, Bills Discounting and Buyers Credit :
Secured by first charge by way of hypothecation of stock of raw materials, stores and spares, stock in process, finished goods,

Current Year Rupees	Previous Year Rupees
71,96,57,139	74,49,37,196
12,62,12,146	13,80,42,964
6,63,40,768	5,72,07,934
21,63,47,215	28,62,88,295
8,10,81,240	15,23,86,857
5,87,08,991	4,56,63,403

material in transit, book debts and other movables on pari-passu basis and further secured by second charge on fixed assets of the Company, both present and future, except certain fixed assets on which exclusive charge created in favour of G.E. Capital Services India.

II Term Loan from Bank:

Axis Bank Limited

Rs.3,48,12,657 is secured by exclusive first charge on the textile machineries acquired out of the proceeds of the said loan. Further to be Secured by first pari passu charge on Land and Factory Building, Plant and Machinery and all other movable assets, present and future, of textile processing unit.

Corporation Bank

Rs.7,27,15,078 is secured by exclusive first charge by way of hypothecation of inventory and receivables of textile processing unit and further Secured by first pari passu charge on Land and Factory Building, Plant and Machinery and all other movable assets, present and future, of textile processing unit.

Standard Chartered Bank

Rs. 31,59,80,000 is secured by hypothecation by way of parri-passu charge on the all present and future movable assets of the Company located at Chopanki, Waluj and Bhiwadi units.

III Term Loan from Others:

i) DEG - Deutsche Investitions-und Entwicklungsgesellschaft mbH

Secured by pari-passu first charge on entire fixed assets of the Company, situated at Bhiwadi and Chopanki units and Wind farm at Jaisalmer, all in the state of Rajasthan.

ii) G.E. Capital Services India (In the previous year)

Secured by exclusive first charge by way of hypothecation of specific machineries purchased out of the proceeds of the said loan.

4 Miscellaneous Income :

Miscellaneous Income includes **Rs.1,92,13,181** (Previous Year Rs.86,05,952) in respect of refund of Regulatory Liabilities Charges paid in earlier years to Maharashtra State Electricity Board.

5 Exceptional Item :

Exceptional item in the Previous year represents VAT Credit receivable for earlier years due to retrospective amendment during the Previous year in Maharashtra Value Added Tax Rules, 2005.

6 Extra Ordinary Item in the Previous year represents the difference between the actual payment and provision of Rs. 98,00,000 made in earlier year, included along with other expenses incurred , on account of stamp duty payable on transfer of assets of erstwhile Paper and Textiles Processing Divisions of the Company to two separate wholly owned subsidiary Companies.

7 Managerial Remuneration

a) To Managing Director, Executive Directors and Whole

Time Directors

Salaries

Commission

Perquisites and Allowances

Contribution to Provident and Other Funds

Employee Benefits

b) To Other Directors

Meeting Fees

8 Remuneration to :

A) Statutory Auditors:

a) Audit Fees

b) In other capacity for :

i) Tax Audit

ii) Taxation Matters

iii) Company Law Matters

iv) Other Services - Certification etc.

c) Reimbursement of :

i) Service Tax

ii) Expenses

B) Cost Auditors:

Audit Fees

9 a) Aggregate Value of Investments

Quoted Investments (Net of Provision)

Quoted Investments (Market Value not available)

Unquoted Investments

Market Value of Quoted Investments

Current Year Rupees	Previous Year Rupees
4,07,38,423	2,65,08,234
3,24,00,000	78,58,064
1,22,21,507	78,29,240
35,76,420	13,74,664
3,76,325	14,53,151
8,93,12,675	4,50,23,353
5,00,000	5,57,500
8,98,12,675	4,55,80,853
26,11,828	20,97,788
4,25,000	4,25,000
3,75,000	3,20,000
3,95,000	3,20,000
7,17,590	5,31,608
3,78,427	3,71,279
50,530	49,300
50,000	50,000
19,15,235	19,15,235
30,00,00,000	NIL
30,19,15,235	19,15,235
31,50,48,356	3,75,10,303
61,69,63,591	3,94,25,538
55,21,262	19,15,235

b) Details of current Investments in units of Mutual funds purchased and sold during the year:

Name of Mutual Fund	Balance as on 01.04.09		Purchased During the Year		Sold/Redeemed During the Year		Balance as on 31.03.10	
	No. of Units	Cost Rs.	No. of Units	Cost Rs.	No. of Units	Cost Rs.	No. of Units	Cost Rs.
ICICI PRUDENTIAL INST. LIQUID PLAN - SUPER INST. DAILY DIVIDEND	NIL	NIL	82,23,042	10,02,55,520	82,23,042	10,02,55,520	NIL	NIL
ICICI PRUDENTIAL FLEXIBLE INCOME PLAN PREMIUM - DAILY DIVIDEND	NIL	NIL	77,86,205	10,03,31,136	77,86,205	10,03,31,136	NIL	NIL
BIRLA SUN LIFE DYNAMIC BOND FUND - RETAIL-GROWTH	NIL	NIL	13,66,843	2,00,01,974	13,66,843	2,00,01,974	NIL	NIL
BIRLA SUN LIFE CASH PLUS - INST.-DAILY DIVIDEND REINVESTMENT	NIL	NIL	18,51,640	2,00,01,974	18,51,640	2,00,01,974	NIL	NIL
BIRLA SUN LIFE CASH PLUS - INST. PREM. -DAILY DIVIDEND REINVESTMENT	NIL	NIL	49,90,775	5,00,05,070	49,90,775	5,00,05,070	NIL	NIL
BIRLA SUN LIFE SAVING FUND - INST. -DAILY DIVIDEND REINVESTMENT	NIL	NIL	80,17,864	8,02,33,165	80,17,864	8,02,33,165	NIL	NIL
DWS INSTA CASH PLUS FUND INST. PLAN DAILY DIVIDEND - REINVEST	NIL	NIL	1,39,30,236	14,00,21,161	1,39,30,236	14,00,21,161	NIL	NIL
DWS CASH OPPORTUNITIES FUND - INST. DAILY DIVIDEND - REINVEST	NIL	NIL	10,03,147	1,00,55,845	10,03,147	1,00,55,845	NIL	NIL
DWS ULTRA SHORT TERM FUND - INST. DAILY DIVIDEND - REINVEST	NIL	NIL	1,41,02,649	14,12,78,929	1,41,02,649	14,12,78,929	NIL	NIL
TATA LIQUID SUPER HIGH INVESTMENT FUND-DAILY DIVIDEND	NIL	NIL	17,946	2,00,01,599	17,946	2,00,01,599	NIL	NIL
TATA TREASURY MANAGER SHIP DAILY DIVIDEND	NIL	NIL	19,817	2,00,21,890	19,817	2,00,21,890	NIL	NIL
RELIANCE MONTHLY INTERVAL FUND - SERIES I - INST. DIVIDEND PLAN	NIL	NIL	49,98,500	5,00,00,000	NIL	NIL	49,98,500	5,00,00,000
LIC MF LIQUID FUND - DIVIDEND PLAN	NIL	NIL	7,24,58,039	79,55,96,517	7,24,57,968	79,55,95,733	71	784
LIC INCOME PLUS FUND - DAILY DIVIDEND PLAN	NIL	NIL	4,35,76,386	43,57,63,862	4,35,76,386	43,57,63,862	NIL	NIL
LIC SAVING PLUS FUND - DAILY DIVIDEND PLAN	NIL	NIL	3,63,16,645	36,31,66,449	3,63,16,645	36,31,66,449	NIL	NIL
LIC MF LIQUID FUND - GROWTH PLAN	NIL	NIL	2,69,42,394	45,25,00,000	2,69,42,394	45,25,00,000	NIL	NIL
LIC MF SAVING PLUS FUND - GROWTH PLAN	NIL	NIL	13,96,445	2,00,02,538	13,96,445	2,00,02,538	NIL	NIL
LIC FLOATING RATE FUND - SHORT TERM PLAN - DAILY DIVIDEND PLAN	NIL	NIL	1,62,54,587	16,25,45,872	NIL	NIL	1,62,54,587	16,25,45,872
UTI MONEY MARKET FUND - DAILY DIVIDEND REINVESTMENT (Purchased during Previous Year)	8,22,989	1,50,01,603	5,49,120	1,00,22,608	13,72,109	2,50,24,211	NIL	NIL
PRINCIPAL MONEY MANAGER FUND - INST. DIVIDEND - PAYOUT MONTHLY	NIL	NIL	76,91,864	8,00,00,000	NIL	NIL	76,91,864	8,00,00,000
UTI TREASURY ADVANTAGE FUND - INST. PLAN (DDO) REINVESTMENT	NIL	NIL	25,078	2,50,82,889	25,078	2,50,82,889	NIL	NIL
GRAND TOTAL	8,22,989	1,50,01,603	27,15,19,224	309,68,88,998	24,33,97,190	281,93,43,946	2,89,45,023	29,25,46,656

Current Investment in Units of Mutual Fund Purchased and Sold / Redeemed during the Previous Year : 95,21,309 Units of LIC MF Liquid Fund - Daily Dividend of the Cost of Rs. 10,25,00,000 and 14,20,999 Units of Birla Sun Life Saving Fund- Retail-Daily Dividend of the Cost of Rs.1,46,49,752.

10 Deferred Tax Liability/Asset at the year end comprise of timing differences on account of :

a) Deferred Tax Liability on account of :
Depreciation

b) Deferred Tax Assets on account of:

- (i) Provision for Doubtful Debts(withdrawal)
- (ii) Expenses allowable for tax purpose when paid(Net)

Net Deferred Tax Liability

Current Year Rupees	Previous Year Rupees
59,07,02,343	55,94,95,253
(39,178)	(40,088)
1,51,85,007	1,38,63,449
1,51,45,829	1,38,23,361
57,55,56,514	54,56,71,892

11 SEGMENT INFORMATION

A. Primary Business Segments:

Rupees

Particulars	Tyres	Others (Non-Reportable)	Total
Segment Revenue			
Total Sales and Related Income	1397,93,68,179 (1261,35,68,193)	193,21,71,981 (161,31,17,698)	1591,15,40,160 (1422,66,85,891)
Less: Inter Segment Sales	1,83,717 (2,12,428)	10,81,40,208 (5,56,39,065)	10,83,23,925 (5,58,51,493)
External Sales and Related Income	1397,91,84,462 (1261,33,55,765)	182,40,31,773 (155,74,78,633)	1580,32,16,235 (1417,08,34,398)
Less: Excise Duty Recovered on Sales	10,95,87,977 (8,97,92,268)	5,63,30,843 (8,21,82,157)	16,59,18,820 (17,19,74,425)
Net Sales and Related Income	1386,95,96,485 (1252,35,63,497)	176,77,00,930 (147,52,96,476)	1563,72,97,415 (1399,88,59,973)
Segment Result before Interest and Tax	329,97,86,278 (145,90,50,319)	15,62,43,382 (7,93,47,629)	345,60,29,660 (153,83,97,948)
Less: Unallocated Corporate Expenses (net)			22,91,002 (47,23,628)
Changes in Accounting Policies			NIL (3,68,401)
			345,37,38,658 (153,33,05,919)
Add: Unallocable Corporate Income			54,28,996 (1,23,823)
Operating Profit before Interest and tax			345,91,67,654 (153,34,29,742)
Less: Interest and Finance Charges			19,32,62,905 (38,35,27,746)
Profit Before Tax			326,59,04,749 (114,99,01,996)
Less: Provision for Taxation			109,74,57,960 (40,93,52,972)
Profit After Tax			216,84,46,789 (74,05,49,024)
Add: Minority Interest Loss			1,835 (3,799)
(Less)/Add: Adjustments relating to earlier years			(16,48,199) (59,77,112)
Short Provision for (Expenses)/Income (Net)			2,36,48,386 (NIL)
Excess Provision for Taxation - Current Tax of earlier years			219,04,48,811 (74,65,29,935)
Profit before Extra ordinary Item			NIL (25,15,075)
Less : Extra ordinary Item			219,04,48,811 (74,40,14,860)
Profit after Extra ordinary Item			1290,60,93,645 (1094,26,60,011)
Segment Assets	1216,18,05,838 (1042,16,81,497)	74,42,87,807 (52,09,78,513)	283,14,17,868 (204,59,46,806)
Unallocated Assets			1573,75,11,513 (1298,86,06,817)
Total Assets			160,99,40,223 (88,43,07,835)
Segment Liabilities	128,14,74,119 (83,45,20,301)	32,84,66,104 (4,97,87,534)	257,77,32,288 (199,06,49,422)
Unallocated Liabilities			418,76,72,511 (287,49,57,257)
Total Liabilities			140,75,21,215 (122,63,69,634)
Total Cost incurred during the year to acquire Segment Fixed Assets	133,13,54,724 (114,79,07,310)	7,61,66,491 (7,84,62,324)	68,63,70,839 (58,62,52,557)
Segment Depreciation and Amortisation	66,21,60,844 (56,54,10,212)	2,42,09,995 (2,08,42,345)	1,09,17,148 (2,41,061)
Non- Cash Expenses other than depreciation and amortisation	1,14,08,773 (10,60,360)	(4,91,625) (-8,19,299)	(4,12,405) (-20,24,580)
Unallocable non cash Net { -Income}			

B.	Secondary Segment - Geographical by location of customers	Rupees	Rupees
	Segment Revenue		
	Sales and Related Income :		
	In India		355,63,18,868
			(277,32,51,432)
	Outside India		
	- Europe	699,44,94,872	
		(684,61,73,515)	
	- North America	183,14,60,235	
		(189,98,18,992)	
	- Others	342,09,42,260	
		(265,15,90,459)	
			1224,68,97,367
			(1139,75,82,966)
	Total		1580,32,16,235
			(1417,08,34,398)
	Segment Assets		
	In India		1339,36,91,182
			(1081,21,36,545)
	Outside India		234,38,20,331
			(217,64,70,272)
	Total		1573,75,11,513
			(1298,86,06,817)
	Total Cost incurred during the year to acquire Segment Fixed Assets		
	In India		140,71,12,536
			(122,58,50,249)
	Outside India		4,08,679
			(5,19,385)
	Total		140,75,21,215
			(122,63,69,634)

Notes

- | | | |
|------|--|---|
| i) | The Management has identified Business Segment as the Primary Segment. Segments have been identified taking into account the nature of the products, differing risks and returns, organisational structure and internal reporting system. | |
| ii) | Composition of the Business Segment :- | |
| | Name of the Segment: | Comprises of: |
| a. | Tyres | Tyres / Tubes / Flaps |
| b. | Others (Non -Reportable) | Coated & Uncoated Paper Boards, Processing of Synthetic Textile Fabric and Marketing Support Services |
| iii) | Inter-Segment transfers are done at realisable value / sales prices. | |
| iv) | Segment Revenue, Segment Results, Segments Assets and Segment Liabilities include the respective amounts identifiable to each of the Segments as also amounts allocated on a reasonable basis. The expenses, which are not directly related to the business segments, are shown as unallocated corporate cost. Assets and Liabilities that can not be allocated amongst the segments are shown as unallocated assets and liabilities respectively. | |

- v) Unallocated assets exclude :
Investments
- vi) Unallocated liabilities exclude :
Secured Loans
Unsecured Loans
Deferred Tax Liabilities (Net)

Current Year Rupees	Previous Year Rupees
61,69,63,591	3,94,25,538
275,53,12,855	340,43,35,062
202,19,80,498	142,17,21,880
57,55,56,514	54,56,71,892
535,28,49,867	537,17,28,834
216,84,46,789	74,05,49,024
(16,48,199)	59,77,112
2,36,48,386	NIL
1,835	3,799
219,04,48,811	74,65,29,935
NIL	25,15,075
219,04,48,811	74,40,14,860

12 Earning Per Share (EPS)

(In accordance with Accounting Standard - 20)

- i) a) Profit Computation for Basic Earning Per Share
 - Profit for the year after Tax
 - Short Provision for (Expenses)/Income (Net)
 - Excess Provision for Taxation - Current Tax of earlier years
 - Add: Minority Interest Loss
 - Profit before Extra Ordinary Item
 - Less: Extra Ordinary Item
 - Profit after Extra Ordinary Item

	Current Year Rupees	Previous Year Rupees
b) Adjustment for the purpose of Diluted EPS		
Interest on 'Series B' Foreign Currency Convertible Bonds	4,42,42,902	5,32,83,753
Less : Tax on above	1,50,38,162	1,81,11,147
Adjustment for the purpose of Diluted EPS	2,92,04,740	3,51,72,606
c) Profit for Diluted earning per share (Before Extra ordinary Item)	221,96,53,551	78,17,02,541
d) Profit for Diluted earning per share (After Extra ordinary Item)	221,96,53,551	77,91,87,466
ii) Weighted Average number of equity shares for Earning Per Share Computation		
a) For Basic Earning Per Share		
Number of Equity Shares at the beginning of the year	1,93,31,719	1,93,31,719
b) For Diluted Earning Per Share		
Number of Shares for Basic EPS	1,93,31,719	1,93,31,719
Add : Weighted Average number of Shares deemed to be issued on future conversion of 'Series B' Foreign Currency Convertible Bonds	7,30,560	7,30,560
Number of Shares for Diluted Earning Per Share	2,00,62,279	2,00,62,279
iii) Nominal Value of Equity Shares (in Rupees)	10	10
Earning Per Share (Weighted Average) (Before Extra ordinary Item)		
Basic	113.31	38.62
Diluted	110.64	38.96
iv) Earning Per Share (Weighted Average) (After Extra ordinary Item)		
Basic	113.31	38.49
Diluted	110.64	38.84

13 Related Party Disclosures *

(Where transactions have taken place)

a) Key Management Personnel (KMP)

Mr. Arvind M. Poddar - Managing Director, Mr. Rajiv A. Poddar - Executive Director (w.e.f. 22/01/2009), Mr. Anurag P. Poddar - Executive Director (w.e.f. 22/01/2009), Mr. B.K. Bansal - Director Finance (w.e.f. 26/07/2008), Mr. Trilok Chand Goel - Sr. President cum Director (upto 25/07/2008), Mr. Kishanlal R. Jangir - Whole time Director, Mr. Rajendra Jhanwar - Whole time Director, Mr. Avnish P. Poddar - Whole time Director (w.e.f. 28/01/2009).

b) Relatives of Key Management Personnel :

Mr. Rajiv A. Poddar (upto 21/01/2009).

c) Other Related Parties -(Enterprises-KMP having significant influence/owned by major shareholders) Siyaram Silk Mills Ltd., Govind Rubber Ltd., SPG Infrastructure Ltd., GRL International Ltd., BKT Moulds Ltd., Vishal Furnishing Ltd.

Related Party Transactions

	Rupees			
Transactions	KMP	Relatives of (KMP)	Other Related Parties	Total
Purchase of Goods/Materials/Services	NIL (NIL)	NIL (NIL)	39,13,484 (57,91,101)	39,13,484 (57,91,101)
Sales of Goods/Materials/Services	NIL (NIL)	NIL (NIL)	34,16,17,582 (34,05,67,406)	34,16,17,582 (34,05,67,406)
Expenses Reimbursed	NIL (NIL)	NIL (NIL)	22,800 (NIL)	22,800 (NIL)
Rent Received	NIL (NIL)	NIL (NIL)	26,47,200 (13,43,464)	26,47,200 (13,43,464)
Recovery of Expenses	52,060 (NIL)	NIL (NIL)	4,60,476 (12,15,494)	5,12,536 (12,15,494)

Transactions	KMP	Relatives of (KMP)	Other Related Parties	Total
Loan given	NIL (NIL)	NIL (NIL)	NIL (13,80,00,000)	NIL (13,80,00,000)
Loan refund received	NIL (NIL)	NIL (NIL)	NIL (13,80,00,000)	NIL (13,80,00,000)
Rent/Lease Rent Paid	NIL (NIL)	NIL (NIL)	4,50,000 (3,88,500)	4,50,000 (3,88,500)
Advance Against Acquisition of Fixed Assets	NIL (NIL)	NIL (NIL)	5,05,00,000 (1,80,00,000)	5,05,00,000 (1,80,00,000)
Loan received	NIL (NIL)	NIL (NIL)	NIL (5,50,00,000)	NIL (5,50,00,000)
Loan repaid	NIL (NIL)	NIL (NIL)	NIL (7,00,00,000)	NIL (7,00,00,000)
Interest paid on Loan received	NIL (NIL)	NIL (NIL)	NIL (42,53,152)	NIL (42,53,152)
Interest Received on Loan given	NIL (NIL)	NIL (NIL)	NIL (19,04,376)	NIL (19,04,376)
Adjustments relating to earlier years	NIL (NIL)	NIL (NIL)	57,287 (NIL)	57,287 (NIL)
Irrecoverable amount written off	NIL (NIL)	NIL (NIL)	19,088 (10,08,914)	19,088 (10,08,914)
Provision for Diminution in value of Investment	NIL (NIL)	NIL (NIL)	NIL (1,68,34,824)	NIL (1,68,34,824)
Remuneration	6,47,02,252 (2,61,76,555)	NIL (3,75,803)	NIL (NIL)	6,47,02,252 (2,65,52,358)
Receivables	NIL (NIL)	NIL (NIL)	10,06,72,443 (2,64,42,434)	10,06,72,443 (2,64,42,434)
Payables	3,27,35,599 (82,21,676)	NIL (NIL)	1,81,653 (2,23,901)	3,29,17,252 (84,45,577)
SAP user charges	NIL (NIL)	NIL (NIL)	4,37,785 (24,01,191)	4,37,785 (24,01,191)

14 Leases - Operating leases :

- i) The Company and its subsidiaries have taken commercial premises under non- cancellable operating leases.
- ii) Future minimum Lease Payments under non - cancellable operating leases :

	Current Year Rupees	Previous Year Rupees
not later than one year	40,76,800	49,04,160
later than one year and not later than five years	NIL	40,76,800
later than five years	NIL	NIL
iii) The rental expenses recognised in Profit and Loss account for operating leases :		
(a) Minimum Rent	2,95,71,044	3,05,58,290
(b) Contingent Rent	NIL	NIL
iv) The Company has given certain portion of its office premises on lease and the agreement for the same is for a period of six months with no further renewal. The said agreement can be terminated by giving one month prior written notice by the lessee or the Company.		
Gross carrying amount of the office premises leased, included in Schedule 'E' Fixed Assets	NIL	7,64,751
Accumulated Depreciation	NIL	2,47,028
Depreciation recognised in the Profit and Loss Account	NIL	12,466

15 a) Total of Research and Development Cost/Expenditure (Revenue)

- b) Contribution to Provident and Other Funds (Schedule 'P') includes contribution for the year to Gratuity Funds covered under the master policies of Life Insurance Corporation of India.

c) Amount of Borrowing Cost capitalised

16 The net amount of Gain/(Loss) of exchange differences included in the Profit and Loss Account {Including unrealised foreign exchange differences (Net)}

17 Foreign Currency Convertible Bonds (FCCB)

- a) The Company raised FCCB during the year 2005-06 aggregating to USD 40 million which included:

- Zero coupon 'Series A' bonds aggregating to USD 18 million, convertible at a price of Rs. 1,080 per share by applying a pre-determined exchange rate of Rs. 45.66 per USD and,
- 4.5% FCCB 'Series B' aggregating to USD 22 million with redemption premium of 1.5% p.a. payable on cumulative basis at the time of redemption i.e. on 31st December 2010, convertible at the option of bondholders at a price of Rs. 1,375 per share by applying a pre-determined exchange rate of Rs. 45.66 per USD. If all these bonds are converted into shares, then the Share Capital of the Company will increase by 7,30,560 Equity Shares of Rs 10 each.

- b) The 'Series A' bonds, during the year 2005-06 were subsequently converted into equity shares upon exercising the conversion right by the Bondholders.

The Company allotted them 7,60,999 shares of Rs.10 each at a pre-determined premium of Rs. 1,070 each.

18 Derivative Instruments

- a) Hedging Contracts :

- The company uses forward exchange contracts to hedge its exposure to foreign exchanges and the Company does not use such contracts for trading or speculation purpose.

- Derivative Instruments outstanding

Forward Exchange Contracts :

Particulars

Total No. of contracts outstanding for Amount

Receivable on account of Export of Goods.

Foreign Currency Value covered

US Dollars

Euro

- b) Unhedged foreign currency exposure is as follows:

Amounts Payable

Loans US Dollars:

Foreign Currency Convertible Bonds (FCCB)

Other Loans :

US Dollars

Euro

Interest US Dollars

Interest Euro

Payables for goods and services ;

US Dollars

Euro

GBP

Amounts Receivable:

Export of Goods US Dollar

Advances :

US Dollar

Euro

GBP

Balance with Scheduled Banks

On Current Account:

US Dollar

Euro

Current Year Rupees	Previous Year Rupees
32,44,382	71,70,561
53,91,631	57,98,824
20,67,853	94,35,201
24,48,99,153	(127,97,23,484)

Current Year	Previous Year
136	184
1,29,21,841	1,45,22,042
1,05,87,429	1,24,73,350
2,20,00,000	2,20,00,000
1,50,89,043	3,01,73,204
6,75,000	1,79,22,213
4,13,524	6,94,810
1,695	NIL
15,23,430	15,31,780
2,96,472	68,474
12,352	18,906
81,201	37,779
39,43,823	13,33,040
3,13,442	21,801
2,07,000	203,688
2,07,467	5,54,985
1,12,557	89,673

19 Disclosures in accordance with revised accounting standard AS-15 on "Employee Benefits".

Defined benefit plans - As per actuarial valuations		Current Year Rupees	Previous Year Rupees
Sr. no.	Descriptions	Gratuity	Gratuity
i	Components of employer expenses		
	Current Service Cost	53,08,762	41,08,480
	Interest Cost	36,73,467	28,76,255
	Expected Return on Plan Assets	(24,67,647)	(19,68,196)
	Actuarial-Loss (Net)	17,88,812	45,04,307
	Total Expenses recognised in the statement of Profit & Loss Account in Schedule 'P'	83,03,394	95,20,846
ii	Actual Contribution and Benefit Payments for the year end		
	Actual Benefit Payments	25,42,781	1,32,20,559
	Actual Contributions	53,91,631	57,98,824
iii	Net Liability recognised in balance sheet at the year end		
	Present Value of Defined Benefit Obligation	5,45,63,487	4,59,18,333
	Fair value of plan assets	(64,82,936)	(1,10,55,859)
	Net Liability recognised in balance sheet	1,79,84,515	1,50,72,752
iv	Reconciliation of Opening and Closing Balances of Defined Benefit Obligations (DBO)		
	Present Value of DBO at the beginning of the year	4,59,18,333	3,59,53,181
	Current Service cost	53,08,762	41,08,480
	Interest cost	36,73,467	28,76,255
	Actuarial Loss on DBO	22,05,706	1,62,00,977
	Benefits paid	(25,42,781)	(1,32,20,559)
	Present Value of DBO at the end of the year	5,45,63,487	4,59,18,334
v	Reconciliation of Opening and Closing Balances of Fair Value of Plan Assets		
	Plan assets at the beginning of the year	3,08,45,581	2,46,02,450
	Expected return on plan assets	26,23,241	19,68,196
	Actual Company contributions	53,91,631	57,98,824
	Actuarial Gain on Plan Assets	4,16,894	1,16,96,670
	Benefits paid	(25,42,781)	(1,32,20,559)
	Plan assets at the end of the year	3,65,78,972	3,08,45,581
vi	Actuarial Assumptions		
	Discount Rate	8.00%	8.00%
	Expected Return on plan Assets	8.00%	8.00%
	Salary escalation	4.50%	4.50%

a) Defined Contribution Plans-

The Companies contribution to defined contribution plans aggregating to **Rs.3,17,52,715** (Previous Year Rs. 2,37,20,177) has been recognised in the statement of profit and loss account under the heading 'Contribution to Provident and Other Funds' (Schedule 'P') .

b) The assumption of future salary increases, considered in actuarial valuation, takes account of inflation and other relevant factors.

- 20** a) As at 31st March, 2010, there are no Micro, Small and Medium Enterprises, as defined in the Micro, Small, Medium Enterprises Development Act, 2006, to whom the Company and its Indian subsidiaries owes dues on account of principal amount together with interest and accordingly no additional disclosures have been made.
- b) The above information regarding Micro, Small and Medium Enterprises has been determined to the extent such parties have been identified on the basis of information available with the Company and its Indian subsidiaries. This has been relied upon by the auditors.
- 21** a) Figures in brackets in Notes 11 and 13 pertain to previous year.
- b) The Previous year figures have been re-arranged and/or regrouped wherever necessary to make them comparable.

Signature to schedules 'A' to 'R'

As per our report of even date attached

For JAYANTILAL THAKKAR & CO.
Chartered Accountants

ASHOK J. THAKKAR
 Partner

VIPUL R. SHAH
 Company Secretary

Mumbai,
 Dated: 29th May, 2010

For and on behalf of the Board of Directors

D.P. PODDAR	Chairman
A.M. PODDAR	Vice Chairman & Managing Director
R.D. PODDAR	Director
B.K. BANSAL	Director (Finance)

Mumbai,
 Dated: 29th May, 2010

CONSOLIDATED CASH FLOW STATEMENT

FOR THE YEAR ENDED 31ST MARCH, 2010

	Year Ended 31st March, 2010 Rupees	Year Ended 31st March, 2009 Rupees
A. CASH FLOW FROM OPERATING ACTIVITIES :		
Net profit before tax	326,59,04,749	114,99,01,996
Less : Exceptional Item	NIL	(84,37,445)
(Less)/Add: (Short)/Excess Provision for Expenses/Income (Net)	(16,48,199)	59,77,112
Less: Extra Ordinary Item	NIL	(25,15,075)
Net profit before adjustments	326,42,56,550	114,49,26,588
Adjustment for :		
Depreciation and Ammortisation	68,63,70,839	58,62,52,557
Income from Investments	(54,28,996)	(1,23,823)
Interest and Finance Charges	19,32,62,905	38,35,27,746
Interest Income	(1,53,57,502)	(1,54,67,056)
Loss on Sale of Fixed Assets (Net)	13,74,076	2,68,547
Fixed Assets Discarded/Written Off (Net)	95,43,072	5,57,473
Unrealised Foreign Exchange differences (Gain)/Loss	(18,41,19,915)	38,69,99,436
Retiring Gratuities	81,58,934	95,20,846
Leave Encashment	64,70,481	98,34,942
Diminution in value of Current Investments	NIL	1,68,34,824
Withdrawal of Provision for doubtful Debts no longer required	NIL	(54,595)
	70,02,73,894	137,81,50,897
Operating profit before working capital changes	396,45,30,444	252,30,77,485
Adjustment for:		
Trade and other receivables	(33,56,49,610)	18,81,99,011
Inventories	(84,48,25,288)	67,29,66,977
Trade payables	37,33,45,961	(13,66,95,990)
	(80,71,28,937)	72,44,69,998
Cash generated from operations	315,74,01,507	324,75,47,483
Direct taxes paid	(104,84,18,194)	(33,70,84,368)
Gratuity paid	(52,47,171)	(57,98,824)
Leave Encashment paid	(50,29,513)	(62,08,335)
Net cash from Operating Activities	209,87,06,629	289,84,55,956
B. CASH FLOW FROM INVESTING ACTIVITIES :		
Purchase of Fixed Assets & Capital Work in Progress	(141,91,86,425)	(132,80,56,772)
Sale of Fixed Assets	1,07,42,592	54,26,321
Purchase of Investments	(339,68,91,998)	(13,64,00,055)
Sale of Investments	281,93,53,946	11,91,36,352
Inter Corporate Loan Given	(75,00,000)	(1,00,00,000)
Inter Corporate Loan Refund Received	75,00,000	1,00,00,000
Interest received	1,65,38,179	1,47,75,092
Income Received on Investments	56,75,516	1,96,721
Net cash used in Investing Activities	(196,37,68,190)	(132,49,22,341)
C. CASH FLOW FROM FINANCING ACTIVITIES :		
Repayment from Short Term Borrowings (Net)	(383,73,60,541)	(342,45,82,619)
Proceeds from Long Term Borrowings	785,28,97,540	423,89,16,598
Repayment of Long Term Borrowings	(387,61,06,929)	(174,13,72,347)
Dividend paid (including tax thereon)	(13,54,13,455)	(23,59,71,271)
Interest paid	(20,19,35,936)	(39,69,00,985)
Net Cash from Financing Activities	(19,79,19,321)	(155,99,10,624)
Net (decrease)/ increase in cash and cash equivalent	(6,29,80,882)	1,36,22,991
Exchange difference on cash and cash equivalent - Loss/(Gain)	(3,08,160)	3,82,948
Cash and cash equivalent as at the beginning of the year	11,69,82,110	10,29,76,171
Cash and cash equivalent as at the end of the year	5,36,93,068	11,69,82,110

Note:

Direct Taxes paid on income are treated as arising from Operating Activities and are not bifurcated between Investing and Financing Activities.

As per our report of even date attached

For JAYANTILAL THAKKAR & CO.
Chartered Accountants

ASHOK J. THAKKAR
Partner

VIPUL R. SHAH
Company Secretary

Mumbai,
Dated: 29th May, 2010

For and on behalf of the Board of Directors

D.P. PODDAR Chairman
A.M.PODDAR Vice Chairman & Managing Director
R.D.PODDAR Director
B.K.BANSAL Director (Finance)

Mumbai,
Dated: 29th May, 2010